



**ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2015**

NIC Bank Limited
Annual Report and Financial Statements for the year ended 31 December 2015

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CORPORATE INFORMATION

DIRECTORS J P M Ndegwa - Chairman F M Mbiru - Vice Chairman J Gachora - Group Managing Director* A Dodd* ^ G A Maina F N Mwanzia A S M Ndegwa I Ochola-Wilson M L Somen- Deceased on 10th March 2016 P V Shah K Thuo E N Ngaine *Executive directors ^British	AUDIT COMMITTEE F N Mwanzia - Chairman F M Mbiru I Ochola-Wilson K Thuo GOVERNANCE AND NOMINATIONS COMMITTEE G A Maina - Chairman A S M Ndegwa P V Shah E N Ngaine INFORMATION, COMMUNICATIONS AND TECHNOLOGY (ICT) COMMITTEE E N Ngaine - Chairman A S M Ndegwa P V Shah K Thuo
CREDIT RISK COMMITTEE F M Mbiru - Chairman F N Mwanzia A S M Ndegwa P V Shah E N Ngaine	HUMAN RESOURCES AND COMPENSATION COMMITTEE I Ochola-Wilson - Chairman F M Mbiru A S M Ndegwa
EXECUTIVE COMMITTEE A S M Ndegwa - Chairman G A Maina M L Somen P V Shah E N Ngaine	REGISTERED OFFICE NIC House Masaba Road P O Box 44599-00100 Nairobi
RISK MANAGEMENT COMMITTEE G A Maina - Chairman F M Mbiru I Ochola-Wilson	REGISTRARS AND TRANSFERS OFFICE Custody & Registrars Services Limited 6th Floor, Bruce House, Standard Street P O Box 8484-00100 Nairobi

CORPORATE INFORMATION (CONTINUED)

GROUP COMPANY SECRETARY	INDEPENDENT AUDITOR
L Murage Certified Public Secretary (Kenya) NIC House, Masaba Road P O Box 44599-00100 Nairobi	PricewaterhouseCoopers Certified Public Accountants (Kenya) PwC Tower Waiyaki Way/Chiromo Road, Westlands P O Box 43963-00100 Nairobi

DIRECTORS' REPORT

The Board of Directors has pleasure in submitting the annual report together with the audited financial statements for the year ended 31 December 2015 in accordance with Section 22 of the Banking Act and Section 157 of the Kenyan Companies Act which discloses the state of affairs of NIC Bank Limited (the "Bank"/"Company") and its subsidiaries (together, the "Group").

1. ACTIVITIES

The principal activities of the Group are the provision of retail and corporate banking, stock brokerage, bancassurance, leasing and investment banking services.

2. RESULTS FOR THE YEAR

The Group profit for the year of Shs 4,485,125,000 (2014: Shs 4,116,674,000) has been added to retained earnings.

3. DIVIDENDS

An interim dividend of Shs 0.25 per share amounting to Shs 159,986,000 (2014: Nil) was paid to shareholders on 22nd October 2015. The Board has resolved to recommend to the shareholders at the forthcoming Annual General Meeting, scheduled for 17th May 2016, the payment of a final dividend for the year of Shs 1.00 (2014: first and final dividend of Shs 1). The dividend will be payable to the shareholders registered on the company's register at the close of business on 7th April 2016 and will be paid on or after 17th May 2016. The register will remain closed for one day on 8th April 2016.

The total dividend for the year, therefore is Shs 1.25 (2014: Shs 1.00) for every one ordinary share amounting to Shs 799,932,000 (2014: Shs 639,946,000).

4. NIC LEASING LIMITED LIABILITY PARTNERSHIP

During the year, NIC Bank in partnership with Mercantile Finance Company formed a motor vehicle and equipment leasing company, NIC Leasing Limited Liability Partnership. The Bank holds 50% and contributed Shs 50,000,000 towards capital.

5. NC BANK UGANDA LIMITED

In line with the Group's expansion strategy, NIC Bank injected additional capital of Shs 376,200,000 into their Ugandan subsidiary to boost their capital ratios and drive business growth.

6. DIRECTORS

The directors who held office during the year and to date are shown on page 2.

In accordance with articles 108, 109 and 110 of the Articles of Association, JPM Ndegwa, I Ochola Wilson and PV Shah retire by rotation and, being eligible, offer themselves for re-election.

7. AUDITOR

The auditor, PricewaterhouseCoopers, has expressed its willingness to continue in office in accordance with Section 159(2) of the Kenyan Companies Act (Cap.486).

DIRECTORS' REPORT (CONTINUED)

8. APPROVAL OF FINANCIAL STATEMENTS

The financial statements were approved and authorised for issue by the Board of Directors on 2nd March 2016.

BY ORDER OF THE BOARD



LIVINGSTONE MURAGE
Group Company Secretary

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The Kenyan Companies Act requires the directors to prepare financial statements for each financial year that give a true and fair view of the state of affairs of the Group and the Bank as at the end of the financial year and of the Group's profit or loss. It also requires the directors to ensure that the Bank keeps proper accounting records that disclose, with reasonable accuracy, the financial position of the Bank. They are also responsible for safeguarding the assets of the Bank.

The directors accept responsibility for the preparation and fair presentation of financial statements that are free from material misstatements whether due to fraud or error. They also accept responsibility for:

- (i) Designing, implementing and maintaining internal control necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error;
- (ii) Selecting and applying appropriate accounting policies; and
- (iii) Making accounting estimates and judgements that are reasonable in the circumstances.

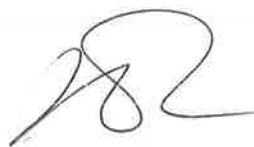
The directors are of the opinion that the financial statements give a true and fair view of the state of the financial position of the Group and of the Bank at 31 December 2015 and of the Group's financial performance and cash flows for the year then ended in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act.

Nothing has come to the attention of the directors to indicate that the Bank and its subsidiaries will not remain a going concern for at least twelve months from the date of this statement.

Approved by the Board of Directors on 2nd March 2016 and signed on its behalf by:



J P M NDEGWA
(Chairman)



J GACHORA
(Group Managing Director)



INDEPENDENT AUDITOR'S REPORT TO THE SHAREHOLDERS OF NIC BANK LIMITED

Report on the consolidated financial statements

We have audited the accompanying financial statements of NIC Bank Limited (the "Bank") and its subsidiaries (together, the "Group"), set out on pages 9 to 99. These financial statements comprise the consolidated statement of financial position at 31 December 2015 and the consolidated statements of profit or loss, comprehensive income, changes in equity and cash flows for the year then ended, together with the statement of financial position of the Bank standing alone at 31 December 2015 and the statements of profit or loss, comprehensive income, changes in equity and cash flows of the Bank for the year then ended, and a summary of significant accounting policies and other explanatory information.

Directors' responsibility for the financial statements

The directors are responsible for the preparation and fair presentation of these financial statements in accordance with International Financial Reporting Standards and the requirements of the Kenyan Companies Act and for such internal control, as the directors determine necessary to enable the preparation of financial statements that are free from material misstatements, whether due to fraud or error.

Auditor's responsibility

Our responsibility is to express an independent opinion on the financial statements based on our audit. We conducted our audit in accordance with International Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform our audit to obtain reasonable assurance that the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgement, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the Bank's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by the directors, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Opinion

In our opinion, the accompanying financial statements give a true and fair view of the financial position of the Group and the Bank at 31 December 2015 and of the financial performance and cash flows of the Group and the Bank for the year then ended in accordance with International Financial Reporting Standards and the Kenyan Companies Act.

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Partners: A Eriksson K Muchiru M Mugasa F Muriu P Ngahu A Murage S N Ochieng R Njoroge B Okundi K Saiti R Shah



**INDEPENDENT AUDITOR'S REPORT
TO THE SHAREHOLDERS OF NIC BANK LIMITED (CONTINUED)**

Report on other legal requirements

As required by the Kenyan Companies Act we report to you based on our audit that:

- i) we have obtained all the information and explanations which to the best of our knowledge and belief were necessary for the purposes of our audit;
- ii) in our opinion proper books of account have been kept by the Bank, so far as appears from our examination of those books;
- iii) the Bank's statements of financial position and profit or loss account are in agreement with the books of account.

The engagement partner responsible for the audit resulting in this independent auditor's report is CPA Kang'e Saiti – P/No 1652.

A handwritten signature in blue ink, appearing to read 'PricewaterhouseCoopers'.

Certified Public Accountants
Nairobi

3 March 2016

STATEMENT OF PROFIT OR LOSS

Bank		Note	Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
15,509,237	12,376,325	Interest income	17,014,132	13,711,068
(6,661,165)	(5,096,846)	Interest expense	(7,271,599)	(5,712,949)
8,848,072	7,279,479	NET INTEREST INCOME	9,742,533	7,998,119
(1,539,452)	(295,494)	Credit impairment charges	(1,652,475)	(329,133)
7,308,620	6,983,985	Net interest income after credit impairment charges	8,090,058	7,668,986
1,670,776	1,356,149	Fee and commission income	1,844,430	1,532,293
(63,794)	(52,283)	Fee and commission expense	(76,527)	(65,041)
1,606,982	1,303,866	NET FEE AND COMMISSION INCOME	1,767,903	1,467,252
1,391,914	1,344,782	Net trading income	1,563,091	1,448,056
356,140	286,131	Other operating income	624,640	592,831
10,663,656	9,918,764	NET OPERATING INCOME	12,045,692	11,177,125
(2,466,156)	(2,051,939)	Employee benefits	(3,063,909)	(2,560,942)
(382,524)	(391,854)	Depreciation and amortisation	(492,455)	(504,635)
(1,555,320)	(1,393,690)	Other operating expenses	(2,092,053)	(1,880,898)
(4,404,000)	(3,837,483)	OPERATING EXPENSES	(5,648,417)	(4,946,475)
6,259,656	6,081,281	PROFIT BEFORE INCOME TAX	6,397,275	6,230,650
(1,868,333)	(2,062,114)	Income tax expense	(1,912,150)	(2,113,976)
4,391,323	4,019,167	PROFIT FOR THE YEAR	4,485,125	4,116,674
4,391,323	4,019,167	Equity holders of the Bank	4,477,355	4,120,855
-	-	Non-controlling interests	7,770	(4,181)
4,391,323	4,019,167		4,485,125	4,116,674
6.86	6.90	Earnings per share (Shs)	7.00	7.07

STATEMENT OF COMPREHENSIVE INCOME

Bank			Note	Group	
2015	2014			2015	2014
Shs'000	Shs'000			Shs'000	Shs'000
<u>4,391,323</u>	<u>4,019,167</u>	PROFIT FOR THE YEAR		<u>4,485,125</u>	<u>4,116,674</u>
		OTHER COMPREHENSIVE INCOME:			
		Items that may be subsequently reclassified to profit or loss			
(363,786)	7,166	Fair value (loss)/ gain on available for sale financial assets, net of deferred income tax	36(c)	(342,050)	(79,089)
-	-	Exchange differences on translation of foreign operations	36(d)	(316,478)	42,269
<u>(363,786)</u>	<u>7,166</u>	OTHER COMPREHENSIVE INCOME FOR THE YEAR NET OF TAX		<u>(658,528)</u>	<u>(36,820)</u>
<u>4,027,537</u>	<u>4,026,333</u>	TOTAL COMPREHENSIVE INCOME FOR THE YEAR		<u>3,826,597</u>	<u>4,079,854</u>
		ATTRIBUTABLE TO:			
4,027,537	4,026,333	Equity holders of the Bank		3,818,827	4,084,035
-	-	Non-controlling interests		7,770	(4,181)
<u>4,027,537</u>	<u>4,026,333</u>			<u>3,826,597</u>	<u>4,079,854</u>

STATEMENT OF FINANCIAL POSITION

Bank				Group	
2015	2014			2015	2014
Shs'000	Shs'000		Note	Shs'000	Shs'000
ASSETS					
7,291,629	9,106,501	Cash and balances with central banks	17	8,940,056	10,539,496
804,882	484,521	Items in the course of collection	18	848,819	519,958
5,464,120	7,843,903	Due from banking institutions	19	6,675,640	8,753,909
25,012,995	16,454,111	Government securities	20	27,911,907	19,223,686
-	118,781	Derivative assets	21	-	118,781
106,516,052	92,957,230	Loans and advances to customers	22	114,657,644	100,575,330
1,030,367	1,060,332	Other assets	23	1,192,994	1,286,699
-	56,570	Current income tax	15(c)	112,729	185,185
2,436,739	2,098,420	Due from group companies	24	-	-
5,709,359	5,398,306	Investments	25	1,517,656	1,615,965
809,600	843,775	Property and equipment	27	1,063,760	1,079,110
511,896	548,776	Intangible assets	28	991,513	1,045,559
7,000	7,125	Operating lease prepayments	29	523,000	523,125
1,167,586	109,113	Deferred income tax	26	1,352,550	313,702
156,762,225	137,087,464	Total assets		165,788,268	145,780,505
LIABILITIES					
105,194,000	92,791,078	Customer deposits	30	112,364,637	100,434,954
7,734,613	4,625,406	Due to banking institutions	31	9,064,552	5,411,664
14,131,007	13,844,209	Borrowings	32	15,356,190	14,358,480
77,389	-	Derivative liabilities		77,389	-
1,059,017	809,452	Due to group companies	33	-	-
138,567	-	Current income tax	15(c)	148,480	12,613
1,920,775	1,676,419	Other liabilities	34	2,378,407	2,129,198
52,471	82,883	Unclaimed dividends	35	52,471	82,883
130,307,839	113,829,447	Total liabilities		139,442,126	122,429,792
EQUITY					
Capital and reserves attributable to equity holders of the Bank					
3,199,728	3,199,728	Share capital	36(a)	3,199,728	3,199,728
2,700,017	2,731,255	Share premium	36(a)	2,700,017	2,731,255
179,982	184,764	Revaluation surplus on property	36(b)	179,982	184,764
(566,443)	(202,657)	Investments revaluation reserve	36(c)	(627,333)	(285,283)
-	-	Foreign currency translation reserve	36(d)	(810,627)	(494,149)
937,629	919,004	Regulatory reserve(s)	36(e)	1,314,333	1,041,058
-	-	Other reserves	36(f)	(157,172)	(157,172)
20,003,473	15,785,977	Retained earnings	36(g)	20,061,870	16,012,992
-	639,946	Proposed dividend	35	-	639,946
26,454,386	23,258,017	Total capital and reserves attributable to equity holders of the Bank		25,860,798	22,873,139
-	-	Non-controlling interests	37	485,344	477,574
26,454,386	23,258,017	Total equity		26,346,142	23,350,713
156,762,225	137,087,464	Total liabilities and equity		165,788,268	145,780,505

The financial statements on pages 9 to 99 were approved and authorised for issue by the Board of Directors on 2nd March 2016 and were signed on its behalf by:



J P M NDEGWA
(Chairman)


F N MWANZIA
(Director)



J GACHORA
(Group Managing Director)


L MURAGE
(Group Company Secretary)

NIC Bank Limited
Financial Statements for the year ended 31 December 2015

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY



Non-distributable

Distributable

	Note	Share capital	Share premium	Revaluation surplus on property	Investments revaluation reserves	Foreign currency translation reserve	Regulatory reserves	Other reserves	Retained earnings	Proposed dividend	Capital and reserves attributable to equity holders of the Bank	Non-controlling interests	Total equity
		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2014													
At start of year		2,714,922	1,208,068	189,545	(206,194)	(536,418)	975,617	(154,126)	12,592,743	407,238	17,191,394	377,512	17,568,906
Profit for the year		-	-	-	-	-	-	-	4,120,855	-	4,120,855	(4,181)	4,116,673
Other comprehensive income, net of tax		-	-	-	(79,089)	42,269	-	-	-	-	(36,820)	-	(36,820)
Total comprehensive income for the year		-	-	-	(79,089)	42,269	-	-	4,120,855	-	4,084,035	(4,181)	4,079,853
Transfer of excess depreciation	36(b)	-	-	(6,830)	-	-	-	-	6,830	-	-	-	-
Deferred income tax on transfer of excess depreciation	36(b)	-	-	2,049	-	-	-	-	(2,049)	-	-	-	-
Transfer to regulatory reserves		-	-	-	-	-	65,441	-	(65,441)	-	-	-	-
Transactions with owners, recorded directly through equity													
Rights issue of shares	36(a)	213,315	1,887,839	-	-	-	-	-	-	-	2,101,154	-	2,101,154
Bonus issue of shares	36(a)	271,492	(271,492)	-	-	-	-	-	-	-	-	-	-
Rights issue expenses paid	36(a)	-	(93,160)	-	-	-	-	-	-	-	(93,160)	-	(93,160)
Rights issue of shares to non-controlling interests in NIC Bank Tanzania	37(a)	-	-	-	-	-	-	-	-	-	-	117,889	117,889
Acquisition of interest from non-controlling interests in:													
- NIC Bank Tanzania Limited	37(a)	-	-	-	-	-	-	(2,669)	-	-	(2,669)	(13,339)	(16,008)
- NIC Securities Limited	37(b)	-	-	-	-	-	-	(377)	-	-	(377)	(306)	(683)
Dividend paid – Final for 2013	35	-	-	-	-	-	-	-	-	(407,238)	(407,238)	-	(407,238)
Dividend proposed – Final for 2014	35	-	-	-	-	-	-	-	(639,946)	639,946	-	-	-
At end of year		3,199,728	2,731,255	184,764	(285,283)	(494,149)	1,041,058	(157,172)	16,012,992	639,946	22,873,139	477,574	23,350,713

NIC Bank Limited
Financial Statements for the year ended 31 December 2015

CONSOLIDATED STATEMENT OF CHANGES IN EQUITY (CONTINUED)

	Note	Share capital	Share premium	Revaluation surplus on property	Investments revaluation reserves	Foreign currency translation reserve	Regulatory reserves	Other reserves	Retained earnings	Proposed dividend	Capital and reserves attributable to equity holders of the Bank	Non-controlling interests	Total equity
Year ended 31 December 2015		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
At start of year		3,199,728	2,731,255	184,764	(285,283)	(494,149)	1,041,058	(157,172)	16,012,992	639,946	22,873,139	477,574	23,350,713
Profit for the year		-	-	-	-	-	-	-	4,477,355	-	4,477,355	7,770	4,485,125
Other comprehensive income, net of tax		-	-	-	(342,050)	(316,478)	-	-	-	-	(658,528)	-	(658,528)
Total comprehensive income for the year		-	-	-	(342,050)	(316,478)	-	-	4,477,355	-	3,818,827	7,770	3,826,597
Transfer of excess depreciation	36(b)	-	-	(6,830)	-	-	-	-	6,830	-	-	-	-
Deferred income tax on transfer of excess depreciation	36(b)	-	-	2,049	-	-	-	-	(2,049)	-	-	-	-
Transfer to regulatory reserves		-	-	-	-	-	273,275	-	(273,275)	-	-	-	-
Transactions with owners, recorded directly through equity													
Rights issue expenses paid	36(a)	-	(31,238)	-	-	-	-	-	-	-	(31,238)	-	(31,238)
Dividend paid – Final for 2014	35	-	-	-	-	-	-	-	-	(639,946)	(639,946)	-	(639,946)
Dividend paid – Interim for 2015	35	-	-	-	-	-	-	-	(159,984)	-	(159,984)	-	(159,984)
At end of year		3,199,728	2,700,017	179,983	(627,333)	(810,627)	1,314,333	(157,172)	20,061,869	-	25,860,798	485,344	26,346,142

NIC Bank Limited
Financial Statements for the year ended 31 December 2015

BANK STATEMENT OF CHANGES IN EQUITY

Non-distributable

Distributable

	Note	Share capital	Share premium	Revaluation surplus on property	Investments revaluation reserve	Regulatory reserve	Retained earnings	Proposed dividend	Total equity
		Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Year ended 31 December 2014									
At start of the year		2,714,920	1,208,068	189,545	(209,823)	729,104	12,591,876	407,238	17,630,929
Profit for the year		-	-	-	-	-	4,019,167	-	4,019,167
Other comprehensive income, net of tax		-	-	-	7,166	-	-	-	7,166
Total comprehensive income for the year		-	-	-	7,166	-	4,019,167	-	4,026,333
Transfer of excess depreciation	36(b)	-	-	(6,830)	-	-	6,830	-	-
Deferred tax on transfer of excess depreciation	36(b)	-	-	2,049	-	-	(2,049)	-	-
Transfer to regulatory reserve		-	-	-	-	189,900	(189,900)	-	-
Transactions with owners, recorded directly through equity									
Bonus issue of shares	36(a)	271,492	(271,492)	-	-	-	-	-	-
Rights issue of shares	36(a)	213,315	1,887,839	-	-	-	-	-	2,101,154
Rights issue expenses paid	36(a)	-	(93,160)	-	-	-	-	-	(93,160)
Dividend paid – Final for 2013	35	-	-	-	-	-	-	(407,238)	(407,238)
Dividend proposed – Final for 2014	35	-	-	-	-	-	(639,946)	639,946	-
At end of year		3,199,728	2,731,255	184,764	(202,657)	919,004	15,785,977	639,946	23,258,017
Year ended 31 December 2015									
Start of year		3,199,728	2,731,255	184,764	(202,657)	919,004	15,785,977	639,946	23,258,017
Profit for the year		-	-	-	-	-	4,391,323	-	4,391,323
Other comprehensive income, net of tax		-	-	-	(363,786)	-	-	-	(363,786)
Total comprehensive income for the year		-	-	-	(363,786)	-	4,391,323	-	4,027,537
Transfer of excess depreciation	36(b)	-	-	(6,830)	-	-	6,830	-	-
Deferred income tax on transfer of excess depreciation	36(b)	-	-	2,049	-	-	(2,049)	-	-
Transfer to regulatory reserve		-	-	-	-	18,625	(18,625)	-	-
Transactions with owners, recorded directly through equity									
Rights issue expenses paid	36(a)	-	(31,238)	-	-	-	-	-	(31,238)
Dividend paid – Final for 2014	35	-	-	-	-	-	-	(639,946)	(639,946)
Dividend paid – Interim for 2015	35	-	-	-	-	-	(159,984)	-	(159,984)
At end of year		3,199,728	2,700,017	179,983	(566,443)	937,629	20,003,472	-	26,454,386

STATEMENT OF CASH FLOWS

Bank			Note	Group	
2015	2014			2015	2014
Shs'000	Shs'000			Shs'000	Shs'000
CASH FLOWS FROM OPERATING ACTIVITIES					
(2,284,891)	4,815,676	Cash (used in) / generated from operations	39 (a)	(2,683,944)	3,364,099
(2,136,132)	(2,213,588)	Income tax paid	15 (c)	(2,147,137)	(2,284,718)
(4,421,023)	2,602,088	Net cash (used in)/ from operating activities		(4,831,081)	1,079,381
CASH FLOWS FROM INVESTING ACTIVITIES					
Investment in NIC Bank Tanzania:					
-	(16,008)	- acquisition of interest from non-controlling interest	37 (a)	-	(16,008)
-	-	Investment in NIC Securities		-	(683)
Investment in NIC Properties:					
-	(550,000)	- acquisition (Share capital)	25 (a)	-	-
-	-	- leasehold land addition	29	-	(516,000)
-	-	- goodwill	28 (b)	-	(34,000)
(50,000)	-	Investment in Leasing LLP	25(a)	-	-
(376,200)	-	Investment in NC Uganda	25 (a)	-	-
(173,663)	(233,254)	Purchase of property and equipment	27	(248,434)	(293,402)
(146,187)	(95,658)	Purchase of intangible assets	28 (a)	(160,612)	(105,329)
115,147	-	Proceeds from Corporate bonds		115,147	-
8,500	1,245	Proceeds from sale of motor vehicle and equipment	39 (c)	24,778	1,245
(622,403)	(893,675)	Net cash used in investing activities		(269,121)	(964,177)
CASH FLOWS FROM FINANCING ACTIVITIES					
(830,342)	(396,588)	Dividend paid	35	(830,342)	(396,588)
-	-	Rights issue of shares to non-controlling interests in NIC Bank Tanzania		-	117,889
-	2,101,154	Rights issue of shares		-	2,101,154
(31,238)	(93,160)	Bonus and rights issue expenses paid	36 (a)	(31,238)	(93,160)
(861,580)	1,611,406	Net cash (used in)/ from financing activities		(861,580)	1,729,295
(5,905,006)	3,319,819	NET (DECREASE) / INCREASE IN CASH AND CASH EQUIVALENTS		(5,961,782)	1,844,499
8,229,118	4,909,299	CASH AND CASH EQUIVALENTS AT START OF YEAR		9,528,431	7,561,599
-	-	Effect of foreign exchange rate changes		24,599	122,333
2,324,112	8,229,118	CASH AND CASH EQUIVALENTS AT END OF YEAR	39 (b)	3,591,248	9,528,431

NOTES TO THE FINANCIAL STATEMENTS**1) Reporting Entity**

NIC Bank Limited (the "Bank"/"Parent") and its subsidiaries (together, the "Group") provide retail banking, corporate banking, brokerage, bancassurance, leasing and investment banking services. NIC Bank Limited is incorporated in Kenya under the Companies Act as a public limited liability company and is domiciled in Kenya.

The Bank's shares are listed on the Nairobi Securities Exchange (NSE). NIC Bank Limited and its subsidiaries operate in Kenya, Tanzania and Uganda through its subsidiaries NIC Bank Tanzania Limited and NC Bank Uganda Limited.

The address of its registered office is as follows:

LR Plot No. 8182

NIC House, Masaba Road

P O Box 44599 - 00100

Nairobi

For Kenyan Companies Act reporting purposes, the balance sheet is represented by the statement of financial position and profit and loss account by the statement of profit or loss in these financial statements.

2) Standards and interpretations affecting the reported result or financial position

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all years presented, unless otherwise stated.

a) Basis of preparation

The financial statements have been prepared in accordance with International Financial Reporting Standards (IFRS) and IFRS Interpretations Committee (IFRIC) applicable to companies reporting under IFRS.

i) Basis of measurement

The measurement basis used is the historical cost basis except where otherwise stated in the accounting policies below.

For those assets and liabilities measured at fair value, fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Bank uses market observable data as far as possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Bank using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs (e.g. by use of the market comparable approach that reflects recent transaction prices for similar items or discounted cash flow analysis). Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorised into three levels of fair value hierarchy based on the degree to which the inputs to the measurements are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.
- Level 2 fair value measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value measurements are those derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Bank at the end of the reporting period during which the change occurred.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

2) Standards and interpretations affecting the reported result or financial position (Continued)

Basis of preparation (Continued)

ii) Use of estimates

The preparation of financial statements in conformity with IFRS requires the use of certain critical accounting estimates. It also requires the directors to exercise their judgment in the process of applying the Group's and Bank's accounting policies. The areas involving a higher degree of judgment or complexity, or areas where assumptions and estimates are significant to the financial statements are disclosed in note 5.

iii) Changes in accounting policy and disclosures

New standards, amendments and interpretations adopted by the Group

A number of amendments to standards arising from the annual improvement to IFRSs became effective for the first time in the financial year commencing 1 January 2015 and have been adopted by the Group. None of them has had an effect on the Group's financial statements.

New and revised standards and interpretations not yet adopted

A number of new standards and interpretations have been published that are not mandatory for annual periods commencing 1 January 2015 and have not been early adopted by the Group. The Group's assessment of the impact of these new standards and interpretations is as follows:

IFRS 16, 'Leases', will replace the current IAS 17 standard on leases. The new standard requires that for lessees all leases, regardless of whether they are operating or financial in nature, will be on balance sheet and accounted for as "financial leases". IFRS 16 will significant change the way lessees account for leases, however lessor accounting remains largely the same and the classification as a finance lease or operating lease is still a consideration. This means that straight-lining of operating leases will remain for lessors. The effective date is 1 January 2019.

IFRS 9, 'Financial instruments', addresses the classification, measurement and recognition of financial assets and financial liabilities and introduces new rules for hedge accounting. The complete version of IFRS 9 was issued in July 2015. It replaces the guidance in IAS 39 that relates to the classification and measurement of financial instruments.

IFRS 9 retains but simplifies the mixed measurements model and establishes three primary measurement categories for financial assets: amortised cost, fair value through other comprehensive income (OCI) and fair value through profit or loss. The basis of classification depends on the entity's model and the contractual cash flow characteristics of the financial asset. Investments in equity instruments are required to be measured at fair value through profit or loss with the irrevocable option at inception to changes in fair value in OCI without recycling. There is now a new expected credit losses model that replaces the incurred loss impairment model used in IAS 39. For financial liabilities there are no changes to the classification and measurement except for the recognition of changes in own credit risk in other comprehensive income, for liabilities designated at fair value through profit or loss. IFRS 9 relaxes the requirements for hedge effectiveness by replacing the bright line hedge effectiveness tests. It requires an economic relationship between the hedged item and hedging instrument and for the 'hedged ratio' to be the same as the one management actually use for risk management purposes. Contemporaneous documentation is still required but is different to that currently prepared under IAS 39. The standard is effective for accounting periods beginning on or after 1 January 2018. Early adoption is permitted. The Group is yet to assess the full impact of IFRS 9.

IFRS 15, 'Revenue from contracts with customers', which replaces IAS 11, IAS 18 and their interpretations (SIC 13 and IFRIC 13, 15, and 18). It establishes a single and comprehensive framework for revenue recognition to apply consistently across transactions, industries and markets. It is based on the principle that revenue is recognised when control of a good or service transfers to a customer – so the notion of control replaces the existing concept of risks and rewards. Revenue is recognised when a customer obtains control of a good or service and thus has the ability to direct the use and obtain the benefits from the good or service.

NOTES TO THE FINANCIALS STATEMENTS (Continued)

2) Standards and interpretations affecting the reported result or financial position (Continued)

Basis of preparation (Continued)

iii) Changes in accounting policy and disclosures (Continued)

New and revised standards and interpretations not yet adopted (Continued)

The new standard is effective for annual periods beginning on or after 1 January 2018. The Group is currently assessing the impact of the amendment on its financial statements.

Amendments to IFRS 7, applicable to annual periods beginning on or after 1 January 2016 provides guidance to clarify whether a servicing contract is continuing involvement in a transferred asset.

Amendments to IAS 1 titled "Disclosure initiative" applicable to annual periods beginning on or after 1 January 2016 which clarify the guidance on materiality and aggregation, the presentation of subtotals, the structure of financial statements and the disclosure of accounting policies.

The Directors are assessing the impact of the standards and will subsequently choose the adoption date.

3) Summary of significant accounting policies

a) Consolidation

i) Subsidiaries

The consolidated financial statements comprise the financial statements of NIC Bank Limited and its subsidiary companies (together, the "Group") made up to 31 December. Subsidiary undertakings have been fully consolidated. All intercompany transactions, balances and unrealised surpluses and deficits on transactions between Group companies have been eliminated.

Subsidiaries are all entities over which the Group has control. The Group controls an entity when the Group is exposed to, or has rights to, variable returns from its involvement with the entity and has the ability to affect those returns through its power over the entity. Subsidiaries are fully consolidated from the date on which control is transferred to the Group. They are deconsolidated from the date that control ceases.

The accounting policies of subsidiaries have been changed when necessary to align them with the policies adopted by the Group. A listing of the Bank's subsidiaries is set out in Note 25 (b).

The acquisition method of accounting is used when subsidiaries are acquired by the Group. The cost of an acquisition in a business combination is measured at fair value, which is calculated as the sum of the acquisition-date fair values of the consideration transferred by the Group, liabilities assumed by the Group from the former owners of the acquiree and the equity interests issued by the Group in exchange for control of the acquiree. Acquisition-related costs are recognised in profit or loss as incurred.

At the acquisition date, the acquired identifiable assets and the liabilities assumed are generally measured and recognized at their fair value.

Goodwill is measured as the excess of the sum of the consideration transferred, the amount of any non-controlling interests in the acquiree, and the fair value of the Group's previously held equity interest in the acquiree (if any) over the net of the acquisition-date amounts of the identifiable assets acquired and the liabilities assumed.

NOTES TO THE FINANCIALS STATEMENTS (CONTINUED)

3) Summary of significant accounting policies (Continued)

a) Consolidation (Continued)

i) Subsidiaries (Continued)

In the event that the amounts of net assets acquired is in excess of the aggregate of the consideration transferred, the amount of non-controlling interest and the fair value of Group's previously held equity interest, the difference is recognised immediately in profit or loss as a bargain purchase.

In a business combination achieved in stages, the previously held equity interest is re-measured at the acquisition-date fair value with the resulting gain or loss recognised in profit or loss.

Non-controlling interests that are present ownership interests and entitle their holders to a proportionate share of the entity's net assets in the event of liquidation may be initially measured either at fair value or at the non-controlling interests' proportionate share of the recognised amounts of the acquiree's identifiable net assets. The choice of measurement basis is made on a transaction-by-transaction basis. Other types of non-controlling interests are measured at fair value or, when applicable, on the basis specified in another IFRS.

Additional information required by the regulatory bodies is included where appropriate.

ii) Changes in ownership interest in subsidiaries without change of control

Transactions with non-controlling interests that do not result in loss of control are accounted for as equity transactions – that is, as transactions with the owners in their capacity as owners. The difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary is recorded in equity. Gains or losses on disposals to non-controlling interests are also recorded in equity.

b) Foreign currencies

i) Functional and presentation currency

The financial statements of each of the Group's entities are measured using the currency of the primary economic environment in which the entity operates (the "Functional Currency"). The consolidated financial statements are presented in Kenya Shillings, which is the Bank's functional and presentation currency. Except as indicated, financial information presented in Kenya Shillings has been rounded to the nearest thousand.

ii) Transactions and balances

Foreign currency transactions that are transactions denominated, or that require settlement, in a foreign currency are translated into the respective functional currencies of the operations using the exchange rates prevailing at the dates of the transactions.

At the end of each reporting period, monetary items denominated in foreign currencies are retranslated at the rates prevailing at that date.

Foreign currency exchange gains and losses resulting from the settlement of such transactions and from the translation at year end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

Translation differences on non-monetary financial instruments, such as equities held at fair value through profit or loss, are reported as part of the fair value gain or loss. Translation differences on non-monetary financial instruments, such as equities classified as available-for-sale financial assets, are included in other comprehensive income.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

b) Foreign currencies (Continued)

iii) Group companies

The results and financial position of Group entities that have a functional currency different from the presentation currency are re-translated into the presentation currency as follows:

For the purpose of presenting consolidated financial statements, the assets and liabilities of the Group's foreign operations are expressed in Kenyan shillings using exchange rates prevailing at the reporting date. Income and expense items of foreign operations are retranslated at average exchange rates for the period.

Foreign currency exchange differences are reported as "exchange differences on translations of foreign operations" and are recognised in other comprehensive income and presented in the foreign currency translation reserve in equity.

c) Income recognition

i) Interest income and expense

Interest income and expense for all interest bearing financial instruments are recognised in profit or loss on accrual basis using the effective interest method. The effective interest rate is the rate that exactly discounts the estimated future cash payments and receipts through the expected life of the financial instruments (or, where appropriate, a shorter period) to the carrying amount of the financial instruments. The effective interest rate is established on initial recognition of the financial instrument.

The calculation of the effective interest rate includes all fees and points paid or received transaction costs, and discounts or premiums that are an integral part of the effective interest rate. Transaction costs are incremental costs that are directly attributable to the acquisition, issue or disposal of a financial instrument.

Once a financial asset or a group of similar financial assets has been written down as a result of an impairment loss, interest income is recognised using the rate of interest that was used to discount the future cash flows for purposes of measuring the allowance for impairment.

Interest income and expense on all trading assets and liabilities are considered to be incidental to the Group's trading operations and are presented together with all other changes in the fair value of trading assets and liabilities in net trading income.

ii) Fee and commission income and expenses

In the normal course of business, the Group earns fees and commission income from a diverse range of services to its customers. Fees and commission income and expenses that are integral to the effective interest rate on a financial instrument are included in the measurement of the effective interest rate.

Other fees and commission income, including account servicing fees, investment management fees, placement fees, brokerage fees, bancassurance fees, and syndication fees, are recognised as the related services are performed. When a loan commitment is not expected to result in the draw-down of a loan, loan commitment fees are recognised on a straight-line basis over the commitment period.

Other fees and commission expense relates mainly to transaction and service fees, which are incurred as the services are received.

iii) Net trading income

Net trading income arises from the margins which are achieved through market-making and customer business and from changes in market value caused by movements in interest and exchange rates, equity prices and other market variables. It comprises gains less losses related to trading assets and liabilities, and includes all realised and unrealised fair value changes, interest, dividends and foreign exchange differences.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments

I. Recognition

Regular purchases and sales of financial assets are recognised on the trade-date – the date on which the Group commits to purchase or sell the asset. Loans and receivables are initially recognised at fair value plus transaction costs and subsequently carried at amortised cost using the effective interest method.

II. Classification

1. Financial assets

The Group classifies its financial assets into the following categories:

- At fair value through profit or loss
- Loans and receivables
- Held-to-maturity investments
- Available for sale investments

Management determines the appropriate classification of its investments at initial recognition.

(a) Financial assets at fair value through profit or loss

This category has two sub-categories: Financial assets classified as held for trading and those designated at fair value through profit or loss at inception.

A financial asset is classified as held for trading if acquired principally for the purpose of selling in the short term. Derivatives are also categorised as held for trading unless they are designated and effective as hedging instruments. Financial instruments included in this category are recognised initially at fair value, transactions costs are taken directly to profit or loss. Gains and losses arising from changes in fair value are included directly in profit or loss.

The group designates certain financial assets upon initial recognition as at fair value through profit or loss (fair value option). This designation cannot subsequently be changed and can only be applied when the following conditions are met:

- the application of the fair value option reduces or eliminates an accounting measurement mismatch or
- the financial assets are part of a portfolio of financial instruments which is risk managed and reported to key management personnel on a fair value basis.

For the Group, these comprise derivative assets (Note 21), certain government securities as set out in Note 20, quoted shares and unquoted equity investments (Note 25). Fair value changes relating to financial assets designated at fair value through profit or loss are recognised in 'Net gains on financial instruments designated at fair value through profit or loss' under 'net trading income' (Note 10).

(b) Loans and receivables

Loans and advances to customers and trade receivables are non-derivative financial assets with fixed or determinable payments and fixed maturities that are not quoted in an active market and which the Group does not intend to sell immediately or in the near term. Loans and advances to customers are recognised when cash is advanced to borrowers.

NOTES TO THE FINANCIAL STATEMENTS (Continued)**3) Summary of significant accounting policies (Continued)****d) Financial instruments (Continued)****II. Classification (Continued)****1. Financial assets (Continued)****(c) Held-to-maturity investments**

These are non-derivative financial assets with fixed or determinable payments and fixed maturities that the Group has the positive intention and ability to hold to maturity. Where a sale occurs, other than an insignificant amount of held-to-maturity assets, the entire category would be tainted and classified as available for sale.

(d) Available-for-sale investments

Available-for-sale financial assets are assets that are intended to be held for an indefinite period of time, which may be sold in response to needs for liquidity or changes in interest rates, exchange rates or equity prices or that are not classified as (a) financial assets at fair value through profit or loss, (b) loans and receivables, or (c) financial assets held to maturity.

Available for sale financial assets are initially recognised at fair value and measured subsequently at fair value with gains and losses being recognised in other comprehensive income and accumulated in the investments revaluation reserve with the exception of;

- impairment losses
- interest calculated using the effective interest rate method
- foreign exchange gains and losses on monetary assets which are recognised in profit or loss.

2. Financial liabilities

Financial liabilities are recognised when the Group enters into the contractual provisions of the arrangements with counterparties, which is generally on trade date, and initially measured at fair value, which is normally the consideration received, net of directly attributable transaction costs incurred. Subsequent measurement of financial liabilities is at amortised cost using effective interest rate method. Financial liabilities include deposits from banks or customers, trade payables in the brokerage and borrowings for which the fair value option is not applied.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

II. Classification (Continued)

Classes of financial instruments

The Group classifies the financial instruments into classes that reflect the nature of information and take into account the characteristics of those financial instruments. The classification made can be seen in the table as follows:

Category (as defined by IAS 39)		Class (as determined by the Group)		Subclasses	
Financial assets and liabilities	Financial assets at fair value through profit or loss	Financial assets held for trading	Debt securities (Government securities)		
		Financial assets designated at fair value through profit or loss	Derivative assets		
			Quoted shares		
			Unquoted equity investments		
	Loans and receivables	Cash and balances with Central Banks (excluding mandatory reserves)			
		Items in the course of collection			
		Due from banking institutions			
		Loans and advances to customers	Loans to individuals (retail)	Overdrafts	
				Credit cards	
				Term loans	
				Mortgages	
		Loans to corporate entities	Large corporate customers		
	SMEs				
	Others				
	Other assets				
	Due from group companies				
	Held-to-maturity Investments	Investment securities - debt securities	Government securities		
Available-for-sale financial assets	Investment securities - debt securities	Government securities			
Financial liabilities at armortised cost	Due to banking institutions				
	Due to group companies				
	Other liabilities				
	Deposits from customers	Deposits from individuals (retail)	Retail customers		
		Deposits from corporate entities	Large corporate customers		
Off-balance sheet financial Instruments	Loan commitments				
	Guarantees, acceptances and other financial facilities				

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

III. Derecognition

The Group derecognises a financial asset when the contractual rights to the cash flows from the asset expire, or substantially all the risks and rewards of ownership incidental to the financial asset are transferred. A financial liability is derecognised when its contractual obligations are redeemed or otherwise extinguished.

IV. Measurement

Financial instruments are initially recognised at fair value plus transaction costs.

Financial assets at 'fair value through profit or loss' are subsequently carried at fair value. Gains and losses arising from changes in the fair value in those assets are recognised in profit or loss.

Gains and losses arising from changes in the fair value of 'available-for-sale financial assets' are recognised in other comprehensive income in the period in which they arise and accumulated in the investment revaluation reserves.

When securities classified as available-for-sale are sold or impaired, the accumulated fair value adjustments previously recognised in the investment revaluation reserves are reclassified to profit or loss.

Dividends on available-for-sale equity instruments are recognised in profit or loss as part of other income when the Group's right to receive payments is established.

The fair values of quoted investments are based on the most representative price within the bid-ask spread. If the market for a financial asset is not active (and for unquoted securities), the Group establishes fair value by using valuation techniques that include the use of various valuation methodology. The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them.

Loans and receivables and held to maturity investments are carried at amortised cost using the effective interest rate method.

Financial liabilities are subsequently measured at amortised cost.

IV. Impairment of financial assets

1. Amounts carried at amortised cost

The Group reviews regularly, on a case-by-case basis, whether any objective evidence exists of impairment, individually for financial assets that are significant and individually or collectively for financial assets that are not individually significant. Financial assets are impaired when objective evidence demonstrates that a loss event has occurred after the initial recognition of the asset and that the loss event has an impact on the future cash flows of the asset that can be estimated reliably.

Loans and receivables are recognised initially at fair value and subsequently measured at amortised cost using the effective interest method, less provision for impairment. A provision for impairment of loans and receivables is established when there is objective evidence that the Group will not be able to collect all amounts due according to the original terms of the receivables. The amount of provision is the difference between the asset's carrying amount and the present value of estimated future cash flows, discounted at the original effective interest rate. The carrying amount of the asset is reduced through the use of an allowance account, and the amount of the loss is recognised in profit or loss as 'Credit impairment charges'. When a loan or receivable is uncollectible, it is written off against the related allowance account. Subsequent recoveries of amounts previously written off are credited through profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

IV. Impairment of financial assets (Continued)

1. Amounts carried at amortised cost (Continued)

Objective evidence that loans and receivables are impaired includes significant financial difficulties of the debtor, probability that the debtor will enter bankruptcy or financial reorganisation, and default or delinquency in payments (more than 30 days overdue), the disappearance of an active market for a security, or other observable data relating to a group of assets such as adverse changes in the payment status of borrowers or issuers in the group, or economic conditions that correlate with defaults in the Group are considered indicators that the loans or receivable is impaired.

In assessing impairment losses, the Group considers the following factors, in each category:

a) Individually assessed loans

- The aggregate exposure to the Group.
- The viability of the customer's business model and its capacity to trade successfully out of financial difficulties and generate sufficient cash flows to meet its debt obligations.
- The realisable value of the security (or other mitigants) and likelihood of successful repossession net of any costs involved in recovery of amounts.
- The amount and timing of expected receipts and, in cases of liquidation or bankruptcy, dividend available.
- The extent and complexity of other creditors' commitment ranking pari passu with the Group and the likelihood of other creditors continuing to support the customer.

b) Collectively assessed

- For loans not subject to individual assessment, to cover losses which have been incurred but have not yet been identified.
- For homogeneous groups of loans that are not considered individually significant, where there is objective evidence of impairment.

Homogeneous groups of loans

For homogeneous groups of loans that are not considered individually significant, or in other cases, when the portfolio size is small or when information is insufficient or not reliable enough, the Group adopts a formulaic approach which allocates progressively higher percentage loss rates in line with the period of time for which a customer's loan is overdue. Loss rates are calculated from the discounted expected future cash flows from a portfolio. These rates and the expected timing of future recoveries are regularly benchmarked against actual outcomes to ensure they remain appropriate.

Loan write – offs

An uncollectible loan is written off against the relevant provision for impairment, either partially or in full, when there is no realistic prospect of recovery and the proceeds from realising the security have been substantially or fully recovered.

Restructured loans

Restructured loans, whose terms have been renegotiated are no longer considered to be past due but are treated as new loans after the minimum required number of payments under the new arrangement have been received.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

d) Financial instruments (Continued)

IV. Impairment of financial assets (Continued)

2. Amounts classified as available for sale

In the case of equity securities classified as available-for-sale, a significant or prolonged decline in the fair value of the security below its cost is considered as an indicator that the securities are impaired. If any such evidence exists for available-for-sale financial assets, the cumulative loss measured as the difference between the acquisition cost and the current fair value, less any impairment loss on that financial asset previously recognised in profit or loss – is removed from other comprehensive income and recognised in profit or loss. Impairment losses recognised in profit or loss on equity instruments are not reversed through profit or loss.

V. Impairment of non-financial assets

At the end of each reporting period, the Group reviews the carrying amount of its tangible and intangible assets to determine whether there is any indication that these assets have suffered an impairment loss.

If objective evidence on impairment losses exists, the recoverable amount of the asset is estimated in order to determine the extent of the impairment loss. The carrying amount of the asset is reduced through the use of an allowance account and the amount of the loss is recognised in profit or loss. In cases where the asset is carried at revalued amount, the impairment loss is treated as a revaluation decrease.

In determining the recoverable amount, the Group considers the higher of the fair value of the asset less costs to sell, and value in use. In estimating value in use, the Group is cognisant of the estimated future cash flows discounted to the present value using a pre-tax discount rate that is reflective of the current market assessment of time value of money and the risks specific to the asset itself.

Intangible assets with indefinite useful life are tested for impairment annually, and when there is indication that the asset may be impaired.

Where impairment loss subsequently reverses, the carrying amount of the asset (or cash-generating unit) is increased to the revised estimate of its recoverable amount, but so that the increased carrying amount does not exceed the carrying amount that would have been determined had no impairment loss been recognised, unless such asset is carried at revalued amount, in which case the reversal of the impairment loss is treated as revaluation income.

Impairment loss on goodwill is not reversed.

e) Offsetting

Financial instruments are offset and the net amount reported in the statement of financial position when there is a legal right to set off the amounts and there is an intention to settle on a net basis or to realise the asset and settle the liability simultaneously.

f) Employee benefits

I. Retirement benefit obligations

The Group operates a defined contribution plan under which the Group pays fixed contributions into a separate entity. The Group has no obligation, legal or constructive, to pay further contributions if the scheme does not have sufficient assets to pay all employees the benefits relating to employee service in the current and prior periods. The assets of the scheme are held in a separate trustee administered fund, which is funded by contributions from both the Group and the employees.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

f) Employee benefits (Continued)

I. Retirement benefit obligations (Continued)

In addition, the Group also contributes to the National Social Security Fund in Kenya, Parastatal Pension Fund in Tanzania and National Social Security Fund in Uganda, which are defined contribution schemes registered under respective Acts of Parliament in the respective countries.

The Group's contributions to the defined contribution schemes are charged to the profit or loss in the year in which they relate.

Contract staff are entitled to gratuity payment at the completion of the contract. Provision is made for gratuity in line with the contracts.

II. Short-term benefits

Short-term employee benefit obligations (e.g. medical reimbursements and insurance) are measured on an undiscounted basis and are expensed as the employee renders service.

The monetary benefits for employee accrued leave entitlement at the reporting date are recognised as an expense accrual.

g) Leasehold land

Payments to acquire leasehold interest in land are treated as prepaid operating lease rentals and amortised on straight line basis over the period of the lease. When a lease includes land and buildings elements, the Bank assesses the classification of each element as either a finance lease or an operating lease. In determining classification of the land element, an important consideration is that land normally has an indefinite economic life. Therefore the finance lease or operating lease classification of the land is considered a critical area of judgment. See note 5 to these financial statements.

h) Income tax expense

Income tax expense comprises current and deferred tax. Current tax is the expected tax payable on the taxable profit for the year using currently enacted tax rates, and any adjustment to tax payable in respect of previous years.

The current income tax charge is calculated on the basis of tax laws enacted or substantively enacted at the reporting date. Management periodically evaluates positions taken in tax returns with respect to situations in which applicable tax regulation is subject to interpretation.

Management establishes provisions where appropriate on the basis of amounts expected to be paid to the tax authorities.

Deferred income tax is provided using the liability method, for temporary differences between the carrying amounts of assets and liabilities for financial reporting purposes and the amounts used for taxation purposes. Deferred income tax is measured at the tax rates that are expected to be applied to the temporary differences when they reverse, based on the laws that have been enacted or substantively enacted by the reporting date. Currently enacted income tax rates are used to determine deferred income tax.

A deferred income tax asset is recognised only to the extent that it is probable that future taxable profits will be available against which the asset can be utilised. Deferred income tax assets are reviewed at each reporting date and are reduced to the extent that it is no longer probable that the related tax benefit will be realised.

The tax effects of carry-forwards of unused losses or unused tax credits are recognised as an asset when it is probable that future taxable profits will be available against which these losses can be utilised.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

h) Income tax expense (Continued)

Current and deferred income tax are recognised in profit or loss, except when they relate to items that are recognised in other comprehensive income or directly in equity, in which case, the current and deferred tax are also recognised in other comprehensive income or directly in equity respectively. Where current income tax or deferred income tax arises from the initial accounting for a business combination, the tax effect is included in the accounting for the business combination.

i) Earnings per share

The Group presents basic and diluted earnings per share (EPS) data for its ordinary shares in the financial statements. Basic EPS is calculated by dividing the profit or loss attributable to ordinary shareholders of the Bank by the weighted average number of ordinary shares outstanding during the period. Diluted EPS is determined by adjusting the profit or loss attributable to ordinary shareholders and the weighted average number of ordinary shares outstanding adjusted for the effects of all potentially dilutive ordinary shares.

j) Dividends on ordinary shares

Dividends are charged to equity in the period in which they are declared. Proposed dividends are not accrued until they have been ratified at the Annual General Meeting.

k) Leases

When the Group is the lessor in a lease agreement that transfers substantially all of the risks and rewards incidental to ownership of an asset to the lessee, the arrangement is classified as a finance lease within loans and receivables. All other lessees are classified as operating leases.

Minimum lease payments made under finance leases are apportioned between the finance income and the reduction of the outstanding principal. The finance income is allocated to each period during the lease term so as to produce a constant periodic rate of interest on the remaining balance of the asset.

Rental income from operating leases is recognised on a straight-line basis over the term of the relevant lease. Rentals payable under operating leases are charged to profit or loss over the terms of the relevant lease.

l) Repurchase agreements

When the Group purchases a financial asset and simultaneously enters into an agreement to re-sell the asset (or a substantially similar asset) at a fixed price on a future date ("reverse repo or stock borrowing"), the arrangement is accounted for as a loan or receivable, and the underlying asset is not recognised in the Group's financial statements.

m) Property and equipment

I. Recognition and measurement

Items of motor vehicles, fixtures & fittings and equipment are stated at historical cost less accumulated depreciation. Buildings comprising mainly of the head office are stated in the statement of financial position at their revalued amounts, being the fair value at the date of revaluation, less any subsequent accumulated depreciation. Valuations are performed with sufficient regularity to ensure that the fair value of a revalued asset does not differ materially from its carrying amount. Any accumulated depreciation at the date of revaluation is eliminated against the gross carrying amount of the asset, and the net amount is restated to the revalued amount of the asset.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

m) Property and equipment (Continued)

I. Recognition and measurement (Continued)

Cost includes expenditures that are directly attributable to the acquisition of the asset. The cost of self-constructed assets includes the cost of materials, direct labour and any other costs directly attributable to bringing the asset to a working condition for its intended use. Purchased software that is integral to the functionality of the related equipment is capitalised as part of that equipment.

When parts of an item of property or equipment have different useful lives, they are accounted for as separate items of property and equipment.

The gain or loss arising on the disposal or retirement of an item of property or equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in profit or loss for the year.

II. Subsequent costs

The cost of replacing part of an item of property or equipment is recognised in the carrying amount of the item if it is probable that the future economic benefits embodied within the part will flow to the Group and its cost can be measured reliably. The costs of the day-to-day servicing of property and equipment are charged to profit or loss for the year as incurred.

In relation to buildings, any increase arising on the revaluation is recognised in other comprehensive income and accumulated in the revaluation surplus on property. Decreases that offset previous increases of the same asset are recognised in other comprehensive income and charged against the revaluation surplus on property; all other decreases are charged to the profit or loss for the year.

III. Depreciation

Depreciation which is recognised in profit or loss is calculated on a straight-line basis to allocate the costs or revalued amounts over their estimated useful lives as follows:

Building	2.5%
Furniture, fittings and equipment	20.0%
Motor vehicles	20.0%
Computers	33.3%

The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at the end of each reporting period. Assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. Excess depreciation, representing the additional depreciation based on revalued amounts over depreciation based on historical costs, is transferred annually from revaluation surplus on property to retained earnings, net of deferred tax.

n) Intangible assets

I. Goodwill

Goodwill arises on business combinations through acquisition of subsidiaries when the cost of acquisition exceeds the fair value of the Group's share of the identifiable assets, liabilities and contingent liabilities acquired. If the Group's interest in the fair value of the identifiable assets, liabilities and contingent liabilities of an acquired business is greater than the cost to acquire, the excess is recognised immediately in profit or loss.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

n) Intangible assets (Continued)

I. Goodwill (Continued)

Goodwill is allocated to cash-generating units for the purpose of impairment testing, which is undertaken at the lowest level at which goodwill is monitored for internal management purposes. Impairment testing is performed at least annually, and whenever there is an indication that the cash-generating unit may be impaired, by comparing the present value of the expected future cash flows from a business with the carrying value of its net assets, including attributable goodwill. Goodwill is stated at cost less accumulated impairment losses which are charged to profit or loss.

II. Computer software

Costs associated with maintaining computer software programs are recognised as an expense as incurred. Development costs that are directly attributable to the design and testing of identifiable and unique software products controlled by the Group are recognised as intangible assets when the following criteria are met:

- it is technically feasible to complete the software product so that it will be available for use;
- management intends to complete the software product and use or sell it;
- there is an ability to use or sell the software product;
- it can be demonstrated how the software product will generate probable future economic benefits;
- adequate technical, financial and other resources to complete the development and to use or sell the software product are available; and
- the expenditure attributable to the software product during its development can be reliably measured.

Directly attributable costs that are capitalized as part of the software product include the software development employee costs and an appropriate portion of relevant overheads.

Computer software development costs recognised as assets are amortised over their estimated useful lives, which is three to five years.

Acquired computer software licences are capitalized on the basis of the costs incurred to acquire and bring to use the specific software. These costs are amortised on the basis of the expected useful lives. Software has a maximum expected useful life of 5 years.

III. License

Separately acquired licences in business combination are initially recognised at their fair value at the acquisition date. Licences with an indefinite useful life are not amortised and are reviewed at each reporting date to determine whether events and circumstances continue to support an indefinite useful life assessment of the asset. Where the Group re-assesses the useful life of an intangible asset as finite rather than indefinite, the asset may be considered to be impaired. The Group tests the asset for impairment annually and whenever there is an indication that the intangible asset may be impaired by comparing its recoverable amount, with the carrying amount and recognising any excess of the carrying amount over the recoverable amount as an impairment.

o) Legal and other claims

Provisions for legal claims are recognised when the Group has a present legal or constructive obligation as a result of past events; it is probable that an outflow of resources will be required to settle the obligation; and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Where there are a number of similar obligations, the likelihood that an outflow will be required in settlement is determined by considering the class of obligations as a whole. A provision is recognised even if the likelihood of an outflow with respect to any one item included in the same class of obligations may be small.

NOTES TO THE FINANCIAL STATEMENTS (Continued)**3) Summary of significant accounting policies (Continued)****p) Cash and cash equivalents**

Cash and cash equivalents comprise balances with less than three months' maturity from the date of acquisition. These includes notes and coins on hand, unrestricted balances held with Central Banks, items in the course of collection from other banks, deposits held at call with banks, net of deposits and balances due to banking institutions and treasury bills with original maturities of less than three months. Such assets are generally subject to insignificant risk of changes in their fair value, and are used by the Group in the management of its short-term commitments.

q) Share capital and share premium

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of new shares are shown in equity as a deduction, net of tax, from the proceeds.

r) Regulatory reserves

IAS 39 requires the Group to recognise an impairment loss when there is objective evidence that loans and receivables are impaired. However, prudential guidelines issued by banking regulators require the Group to set aside amounts for impairment losses on loans and receivables based on their guidelines. Extra losses over and above those already recognised under IAS 39 are accumulated under regulatory reserves through appropriations of retained earnings.

s) Contingent liabilities

Letters of credit, acceptances, guarantees and performance bonds, which are credit-related instruments, are generally given by the Group to support performance by a customer to third parties. Nominal principal amounts represent amounts at risk should the Group be required to meet these obligations in the event the customer defaults. These obligations are accounted for as off balance sheet transactions and disclosed as contingent liabilities.

t) Fiduciary activities

The Group provides custody, trustee, corporate administration, investment management and advisory services to third parties, which involve the Group making allocation and purchase and sale decisions in relation to a wide range of financial instruments. Those assets that are held in a fiduciary capacity are not included in these financial statements.

u) Derivative financial instruments

Derivatives are financial instruments that derive their value from the price of underlying items such as equities, bonds, interest rates, foreign exchange, credit spreads, commodities and equity or other indices. Derivatives are intended to acquire, increase, reduce or alter exposure to market risks. The group uses derivatives for its customers and on its own account to manage exposure to market risks. Derivative assets and liabilities on different transactions are only set off if the transactions are with the same counterparty, a legal right of set-off exists and the cash flows are intended to be settled on a net basis.

v) Segmental reporting

Operating segments are reported in a manner consistent with the internal reporting provided to the chief operating decision maker (Group management). Group management allocates resources to each operating segment of the Group and assesses their performance. The operating segments are based on the Group's management and internal reporting structure.

In accordance with IFRS 8, Operating Segments, the Group has the following business segments; corporate and institutional banking, treasury dealing and brokerage, retail banking, asset finance and investment banking and others (see note 6).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

3) Summary of significant accounting policies (Continued)

w) Comparatives

Except otherwise required, all amounts are reported or disclosed with comparative information. Where necessary, comparative figures have been adjusted to conform to changes in presentation in the current year.

4) Financial risk management objectives

Group risk management framework and governance structures

Risk management overview

In the financial services sector, sustainable growth in profitability involves selectively taking and managing risks. The Group's goal is to earn, on behalf of the stakeholders, an optimal, stable and sustainable rate of return for every shilling of risk we take, while continually investing in our business to meet our future growth objectives. The risk management resources and processes are designed to identify, understand, measure and report risks that the Group's businesses are exposed to, and develop governance, controls, and risk management frameworks necessary to mitigate these risks as appropriate. These resources and processes are strengthened by the Group's culture which emphasises transparency, accountability and responsibility for managing the risks we are exposed to.

The Group defines risk as an event or events of uncertainty which can be caused by internal or external factors resulting in the possibility of losses (downside risk). However, the Group appreciates that some risk events may result into opportunities (upside risk) and should therefore be actively sought and exploited.

The Group operates in an environment of numerous risks as shown below that may cause financial and non-financial results to differ significantly from the expected outcomes. The Group has an enterprise-wide approach to the identification, measurement, monitoring and management of risks faced across the region. These financial risks are classified as follows:

- Credit and counterparty risk
- Liquidity and funding risk
- Market risk that fall within:
 - Interest rate risk
 - Foreign exchange risk
 - Price risk

a) Credit and counterparty risk

Credit and counterparty risk is the potential for loss due to the Group's customers' or counterparties' failure or unwillingness to meet their contractual credit obligations. It is the single largest financial risk that the Group faces. It arises principally from, but is not limited to, commercial and retail loans and advances, commitments from forward foreign exchange contracts, financial guarantees, letters of credit and acceptances, investments in debt securities and other exposures arising from trading and settlement activities with market counterparties.

The amounts presented in these financial statements are net of impairment allowances based on prudent assessment of the customers' or counterparties' abilities to meet their contractual obligations.

The Group's lending principles are laid out in an elaborate series of corporate strategies, policies, standards, guidelines, directives and procedures, all of which are developed, approved and reviewed regularly by the Board Credit Risk Committee and respective Risk Management Committees. This is to ensure policies are current and consistent with the Group's risk appetite. The structure, limits, collateral requirements, ongoing management, monitoring and reporting of credit exposures are all governed by these principles.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Who manages credit & counterparty risk

The Board of Directors and Senior Management pay special attention to credit risk exposure at all times. The Board retains the responsibility for under-writing and independent review of the credit risk exposures through specifically constituted Board sub-committees: the Board Credit Risk Committee and the Board Risk Management Committee respectively. To facilitate the day to day management of credit risk i.e. under-writing functions, monitoring and control, there is a specialised, independent and centralised credit review/approval team headed by the Head of Credit who reports to the Group Managing Director. The Board of Directors retains the authority to approve credit facilities that are significant in size or complexity.

Effective credit risk management begins with experienced and professional lending officers who have been formally mandated to authorise credit exposures for the Group. These individuals are subjected to a rigorous lender qualification process and operate within a disciplined environment with clear delegation of management discretionary limits at both the individual and joint levels depending on the size and complexities of the credit decisions they make.

To facilitate quick credit decisions, the Board Credit Risk Committee has granted formal discretionary limits to several Senior Managers (at individual and committee levels), in line with their skills, experience and ability to make sound credit decisions.

To separate the sales and credit under-writing functions from credit operations, a credit administration unit that reports directly to the Head of Technology and Operations, handles post-approval credit administration as well as the daily monitoring of credit exposures against approved limits. This together with the complete segregation of sales activities from the underwriting process, maintains an adequate governance structure that eliminates conflicts of interest that may occur in the course of business.

Credit risk management key performance indicators, including the quality of our credit portfolios, portfolio concentrations, amongst others, are independently reviewed by the Head of Risk Management & Compliance with oversight from the Board Risk Management Committee.

Regular independent audits of the approval process and adherence to credit risk management programs are carried out by the Internal Audit Department. Adverse findings are submitted to Senior Management and the Board Audit Committee for information and corrective actions implementation. Furthermore, audit programs are carried out using a risk based approach to concentrate activities where high probability and/or high impact risk events are envisaged.

How credit and counterparty risk is managed

Credit and counterparty risk measurement & assessment

The estimation of credit exposures at the individual and portfolio levels is complex and requires the use of special models, as the value of products or portfolios varies with changes in market variables, expected cash-flows and the passage of time. The assessment of a portfolio of assets' credit exposures entails further estimation of the likelihood of defaults occurring, of associated losses, and of default correlations between borrowers or counterparties, the facilities granted, and their industries. This is achieved using a credit rating model developed internally for use in the business.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Credit & counterparty risk limit control and mitigation policies

The Board Credit Risk Committee regularly sets, reviews and approves exposure limits for the larger counterparties as well as tolerance limits on a portfolio basis. In turn, the Group manages the limits and controls concentrations of credit risk exposures against internal and regulatory requirements with respect to individual counterparties or related groups of counterparties, industry sectors, amongst others.

Exposures to any one borrower (including bank counterparties) are further restricted by sub-allocating limits covering separate on and off – balance sheet exposures, as well as daily delivery exposures in relation to trading items e.g. forward foreign exchange contracts.

Lending limits are reviewed regularly in line with the changing business/financial risks of the borrowers, in addition to industry and general economic conditions in which they operate. To enable prudent and consistent credit assessments at the individual level, the Group has robust approval processes and models covering different business segments. This process basically captures the borrower's financial viability, industry / economic performance, geopolitical risks and its managements' ability to steer the organisation. These models are suited to counterparties who are homogeneous in nature for ease of their use.

Limits for commercial and corporate clients are reviewed at least once annually. The credit review process ensures that an appropriate facility structure, including covenant monitoring, is in place for each client. The frequency of reviews is increased in accordance with the likelihood and size/complexity of potential credit losses, with deteriorating higher-risk situations referred to independent debt recovery units for closer attention and remediation where appropriate.

The risks in industry sectors are managed through limits and lending criteria / guidelines relevant to each particular industry. Borrower limits are set within the context of established guidelines for individual borrowers and particular industries to ensure the Group does not have excessive concentration in any related group of borrowers or industry. Through this portfolio management process, loans may be syndicated to reduce overall exposure to a single name and/ or industry.

Exposures against tolerance limits in relation to credit risk categories are measured and monitored periodically on an aggregated basis. Actual exposures against limits are monitored daily through the well-established credit management information systems that are in place.

Other specific control and mitigation measures are outlined below:

Although the Group only lends to counterparties that primarily demonstrate adequate capacity to repay loans, it also employs a range of policies, guidelines and models to mitigate credit risk as follows:

i) Collateral

This is only considered in those cases where the Group would want to take a credit risk mitigant. The Group has developed specific policies and guidelines for the acceptance of different classes of collateral whose estimated fair values are well understood.

Estimates of the collateral's fair values are based on the value of collateral independently and professionally assessed at the time of borrowing, and re-valued with a frequency commensurate with nature and type of the collateral and credit advanced. Collateral structures and covenants are subjected to regular review to ensure they continue to fulfil the intended purpose to the Group.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Other specific control and mitigation measures are outlined below: (Continued)

i) Collateral (Continued)

Collateral is generally not held in respect of deposits and balances due from banking institutions, items in the course of collection, and Government securities, except when securities are held for reverse purchase and securities borrowing activity.

ii) Credit rating

The Group uses an internal rating system for its borrowing clients. The system sets maximum exposure limits for individuals or groups of clients using the rating attained by the borrowers. The rating system will also inform the basis of determining the value and classes of collateral acceptable for the borrower(s).

iii) Settlement risk

This is the risk of loss due to the failure by counterparty to honour its obligations to deliver cash, securities or other assets as contractually agreed. It arises in situations where a payment in cash is made in anticipation of corresponding receipt of cash securities or other assets. Daily settlement limits are approved by the relevant authority levels and established for each counterparty to cover the aggregate of all settlement risks arising from the counterparty's market transactions on a single day. Acceptance of the counterparty's settlement risk is determined on the basis of financial strengths and other non-financial considerations subject to Board Credit Risk Committee's approvals.

Impairment policies

Across all its loan portfolios, the Group employs a disciplined approach to impairment allowances evaluation, with prompt identification of problem loans being a key risk management objective. The Group maintains both collective and specific impairment allowances for credit losses, the sum of which is sufficient to reduce the book value of credit assets to their estimated realisable value. Specific impairment allowances reduce the aggregate carrying value of credit assets where there is specific evidence of deterioration in credit quality. In line with regulatory guidelines, a collective allowance is maintained to cover potential impairment in the existing portfolio that cannot be associated with specific credit. These allowances are reviewed and updated on a regular basis.

Write-off policy

The Group writes off loans and advances net of any related allowances for impairment losses when it determines that the loans are uncollectable and securities unrealisable. This determination is reached after accessing objective evidence or occurrence of significant changes in the borrower or issuer's financial position such that they are no longer able to repay the obligation, or that proceeds from the sale of collateral will not be sufficient to pay back the entire exposures. This is done after exhausting all other means including litigation. For Retail and Asset Finance loans, charge off decisions are generally based on product specific days past due status and the size of balances owed per borrower.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (continued)

I. Maximum exposure to credit risk before collateral held - Group

	Note	2015 Shs'000	%	2014 Shs'000	%
Credit exposures					
On – balance sheet items					
Balances with central banks	17	7,277,322	4	9,066,532	7
Items in the course of collection	18	848,819	-	519,958	-
Due from banking institutions	19	6,675,640	5	8,753,909	6
Loans and advances to customers	22	114,657,644	67	100,575,330	64
Government securities	20	27,911,907	16	19,223,686	12
Other assets – trade receivables	23	47,121	-	154,122	-
Derivative assets	21	-	-	118,781	-
		<u>157,418,453</u>	<u>92</u>	<u>138,412,318</u>	<u>89</u>
Off-balance sheet items					
Letters of credit	38	2,447,972	1	3,490,696	2
Guarantees and performance bonds		<u>11,988,684</u>	<u>7</u>	<u>13,793,897</u>	<u>9</u>
		<u>14,436,656</u>	<u>8</u>	<u>17,284,593</u>	<u>11</u>
		<u>171,855,109</u>	<u>100</u>	<u>155,696,911</u>	<u>100</u>

II. Maximum exposure to credit risk before collateral held - Bank

	Note	2015 Shs'000	%	2014 Shs'000	%
Credit exposures					
On – balance sheet items					
Balances with central banks	17	6,001,492	4	8,079,859	6
Items in the course of collection	18	804,882	1	484,521	-
Due from banking institutions	19	5,464,120	3	7,843,903	5
Loans and advances to customers	22	106,516,052	67	92,957,230	66
Government securities	20	25,012,995	16	16,454,111	11
Derivative assets	21	-	-	118,781	-
		<u>143,799,541</u>	<u>91</u>	<u>125,938,405</u>	<u>88</u>
Off-balance sheet items					
Letters of credit	38	2,405,342	2	3,374,438	2
Guarantees and performance bonds		<u>11,763,879</u>	<u>7</u>	<u>13,633,024</u>	<u>10</u>
		<u>14,169,221</u>	<u>9</u>	<u>17,007,462</u>	<u>12</u>
		<u>157,968,762</u>	<u>100</u>	<u>142,945,867</u>	<u>100</u>

The above represents the worst case scenario of credit exposure for both years, without taking into account collateral held or other credit enhancements/mitigants.

The Group Loans and advances to customers and other trade related items (off-balance sheet items) comprise of 79% (2014: 77%) of the total credit exposure.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (continued)

Collateral

While collateral is an important mitigant to credit risk, the Group's underwriting policy ensures that loans are strictly granted on a going concern basis with upfront adequate demonstration of repayment capacity. Other than exposures amounting to Shs 3,805,614,000 (2014: Shs 3,634,944,000) that are unsecured, all other facilities are secured by collateral in the form of charges over cash, land and buildings, marketable securities, plant and machinery, amongst others. The fair value of collateral held for impaired loans and advances is Shs 10,451,907,000 (2014: Shs 1,351,648,000).

Collateral and other credit enhancements obtained

The fair value of assets held by the Group as at 31 December as collateral was as follows:

Carrying amount

Bank		Nature of assets	Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>9,776,326</u>	<u>942,380</u>	Charges over cash, land and buildings, marketable securities, plant and machinery	<u>10,451,907</u>	<u>1,351,648</u>

Collateral repossessed

It is the Group's policy to dispose of repossessed properties on the open market, at fair market value. The proceeds are used to reduce or repay the outstanding claim. In general, the Group does not occupy or foreclose repossessed properties for its own business use.

The Group is confident that its credit policies and programs provide sufficient safeguards against the credit risk exposure shown in the tables overleaf:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

I. Classification of loans & advances to customers

Group

At 31 December 2015	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Total Shs'000
Gross loans and advances				
Neither past due nor impaired	92,411,193	3,683,340	3,054,707	99,149,240
Past due but not impaired:				
Past due 30 to 90 days	4,479,299	238,093	493,846	5,211,238
Individually impaired	12,165,065	764,446	299,023	13,228,534
Total gross loans advanced	109,055,557	4,685,879	3,847,576	117,589,012
Impairment allowances				
Neither past due nor impaired	-	-	-	-
Past due but not impaired:				
Past due 30 to 90 days	(150,766)	-	(3,974)	(154,740)
Individually impaired	(2,388,739)	(387,480)	(409)	(2,776,628)
Impairment allowances	(2,539,505)	(387,480)	(4,383)	(2,931,368)
Net loans and advances	106,516,052	4,298,399	3,843,193	114,657,644
Coverage ratio of the individually impaired	20%	51%	0%	21%
At 31 December 2014				
Gross loans and advances				
Neither past due nor impaired	90,433,598	3,724,419	3,047,388	97,205,406
Past due but not impaired:				
Past due 30 to 90 days	1,643,408	408,083	31,879	2,083,370
Individually impaired	3,244,092	644,815	143,101	4,032,008
Total gross loans advanced	95,321,098	4,777,317	3,222,368	103,320,784
Impairment allowances				
Neither past due nor impaired	-	-	-	-
Past due but not impaired:				
Past due 30 to 90 days	(62,157)	-	(2,937)	(65,094)
Individually impaired	(2,301,711)	(372,486)	(6,162)	(2,680,360)
Impairment allowances	(2,363,868)	(372,486)	(9,099)	(2,745,454)
Net loans and advances	92,957,230	4,404,831	3,213,269	100,575,330
Coverage ratio of the individually impaired	71%	58%	43%	67%

Credit quality of loans and advances

All loans and advances are categorised as neither past due nor impaired, past due but not impaired, or impaired. Impaired loans include restructured loans. For the purposes of these disclosures:

- A loan is considered past due when the borrower has failed to make a payment when due under the terms of the existing loan contract;
- The impairment allowance includes allowances both against financial assets that have been individually impaired and those subject to collective impairment;
- Loans neither past due nor impaired consist predominantly of corporate and retail loans that are performing. These loans, although unimpaired, may carry an unidentified impairment allowance; and
- Impaired loans that are collectively assessed for impairment consist predominantly of Retail loans that are 1 day or more past due for which a collective impairment allowance is raised.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Loans and advances that are neither past due nor impaired

The Group classifies loans and advances under this category if they are up to date and in line with their contractual agreements (within 0 - 30 days). Such loans would have demonstrated the meeting of their financial and non-financial conditions plus obligations and the borrowers would have proven forward looking capacity to repay the loans. These exposures will normally be maintained largely within approved facility programs and with no depiction of impairment or distress signs. These exposures are categorised as normal accounts (category 1) in line with internal guidelines and those issued by regulators where applicable. A collective provision on the total outstanding balances is made and appropriated from revenue reserves to statutory credit risk reserves.

Past due but not impaired

This category includes exposures that are between 31 and 90 days past due, where losses may have been incurred but have not been clearly identified. These exposures are graded as category 2 in line with our internal guidelines and those issued by banking regulators. A collective impairment allowance is made as described above to cover losses which have been incurred but have not yet been identified.

Individually impaired loans and advances

Impaired loans and advances are those which the Group determines that it is highly probable that it will be unable to collect all principal and interest due according to the contractual terms of the loan securities agreement(s). These loans are graded between categories 3 (91 - 180 days), 4 (181 - 360 days) and 5 (over 360 days) using the Group's internal credit rating system. These clients, under guidelines issued by the Central Banks in the regions we operate in, are termed as non-performing loans. The Group establishes a specific allowance for impairment losses for each loan that represents the estimate of losses that will be incurred in its loan portfolio.

Concentrations of risk

The Group monitors concentration of risk exposures in its lending and other asset portfolios by individuals or groups of related borrowers and industry sector concentrations in line with Board of Directors' approved limits. These limits are reviewed regularly using economic risk indicators identified in particular industrial sectors. An analysis of concentrations within the loans and advances to customers and off balance sheet items are as follows:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

a) Credit and counterparty risk (Continued)

Loans and advances to customers

Bank			Group	
2015	2014		2015	2014
%	%		%	%
24	25	Manufacturing	25	28
27	24	Social community and personal services	27	24
13	17	Transport and communication	12	16
16	10	Wholesale and retail	16	10
5	6	Agriculture	5	6
2	2	Electricity	2	2
3	2	Financial	2	2
11	14	Other	11	14
<u>100</u>	<u>100</u>		<u>100</u>	<u>100</u>

Contingent liabilities

Bank			Group	
2015	2014		2015	2014
%	%		%	%
8	9	Agriculture	8	9
12	11	Business services	12	11
10	10	Wholesale and retail	10	10
6	5	Real estate and construction	6	5
19	20	Transport and communication	19	20
32	33	Manufacturing	32	33
13	12	Other	13	12
<u>100</u>	<u>100</u>		<u>100</u>	<u>100</u>

b) Liquidity and funding risk

Liquidity risk is the potential for loss to an institution arising from either its inability to meet its obligations when they fall due or to fund increases in assets without incurring unacceptable costs or losses. Effective liquidity risk management is essential in order to maintain the confidence of depositors and counterparties, and to enable our core business to continue operating even under adverse liquidity circumstances.

Who manages liquidity and funding risk

The Assets and Liabilities Committee (ALCO), a management committee, is tasked with the responsibility of ensuring that all foreseeable funding commitments and deposits withdrawals can be met as and when they fall due, and that the Group will not encounter difficulties in meeting its current and future financial obligations or financial liabilities as they fall due.

ALCO relies substantially on the Group's Treasury Department to coordinate and ensure discipline across the Group and business units, certify sufficient liquidity under both normal and stressed conditions, without incurring unacceptable losses and/or risking damage to the Group's reputation.

The Board Executive Committee has oversight over ALCOs activities through regular review of its minutes and significant reports outlining the Group's current exposures against approved risk limits. These reports are also reviewed by the Board Risk Management Committee on a regular quarterly basis.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk

Liquidity policies / guidelines and limits are reviewed periodically, or as the need arises.

How liquidity and funding risk is managed

I Liquidity and funding management

The Group's liquidity and funding policies require that it:

- Enters into lending contracts subject to availability of funds.
- Projects cash flows by major currencies and consider the level of liquid assets necessary in relation thereto.
- Monitors liquidity ratios against internal and regulatory requirements and guidelines.
- Maintains an array of a diverse range of funding sources as contingency back-up facilities.
- Monitors depositor concentration to avoid undue reliance on large individual depositors and ensure a satisfactory funding mix is attained.
- Invests in short term liquid instruments, which can easily be sold in the market when the need arises.
- Ensure investments in large cash outlay projects e.g property and equipment purchases are budgeted for and carried out only when the Group has sufficiently liquid cash flows.
- Maintains liquidity and funding contingency plans. These plans and key risk indicators clearly identify early stress conditions and describe actions to be taken in the event of difficulties arising from systemic or other crisis while minimising adverse long-term implications.

II Sources of funding

The Group's major source of funding is customer deposits. To this end, the Group maintains a diversified and stable funding base comprising of the core retail and corporate customers and wholesale banking clientele. The Group places considerable importance on the stability of these deposits, which is achieved through the Group's corporate, institutional and retail banking activities and by maintaining depositor confidence in the Group's business strategies and financial strength. An analysis of concentrations within the customer deposits is as follows:

Customer deposits

Bank			Group	
2015	2014		2015	2014
%	%		%	%
1	5	Insurance companies	1	5
10	15	Non-profit institutions and individuals	11	16
89	80	Private enterprises	88	79
<u>100</u>	<u>100</u>		<u>100</u>	<u>100</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

II Sources of funding (Continued)

The Group also borrows from the inter-bank and wholesale markets such as pension funds and insurance companies to meet its short term liquidity and other investment objectives.

The Group does not maintain cash reserves to meet all its obligations as experience over time has shown that a minimum level of reinvestment of maturing customer funds can be predicted with a high level of certainty. Although the contractual repayments of many customer accounts are on demand or short notice, in practice from a behavioral perspective, short-term deposit balances remain stable as inflows and outflows broadly match.

III Exposure to liquidity risk

The key measures used by the Group for managing liquidity risk are;

- The ratio of net liquid assets to deposits from customers (liquidity ratio). For this purpose, net liquid assets include cash and cash equivalents and investments in securities for which there is an active and liquid market less any deposits from banks, as well as other borrowings and commitments maturing within the next month. The banking regulators also require that the Group maintains a cash reserve ratio computed as percentage of eligible customer deposits.

The banking regulations require that the Group maintains a minimum liquidity ratio of 20%. The Group complied with the liquidity requirements during the year.

The average liquidity ratio for the year was 31% (2014: 29%).

- The maturity analysis of assets and liabilities report is presented in the next pages. The Group uses the maturity mismatch ladders to compare cash inflows and outflows each month and over a series of time-bands. The maturity mismatch ladder shows the net cash flows of the Group in various time bands. The Group net funding requirements are determined by analysing present and future cash flows of the entire statement of financial position at selected maturity dates, based on assumptions of the behaviour of assets, liabilities and off-balance sheet items. Calculations will include the cumulative net excess or shortfall over the time frame of the liquidity assessment.

The Group also monitors its liquidity exposures through an array of internally developed risk indicators such as several types of advances to deposit ratios, proportion of largest depositors to total deposits, liquidity gap analysis ratios, inter-bank borrowings as a proportion of total deposits, amongst others. At the end of 2014, the Group begun to use the Basel Accord preferred Liquidity Coverage ratio and Net Stable Funding ratio to assess its short and long term liquidity stability. This enables the group to arrest any early warning signs and take timely corrective action.

As part of the ALCO function, Treasury receives information from business units regarding the liquidity profile of their financial assets and liabilities plus details of other projected cash flows arising from projected future business. Treasury then maintains a portfolio of short-term liquid assets, largely made up of short-term liquid investment grade securities, loans and advances to banks and other inter-bank facilities, to ensure that sufficient liquidity is maintained within the Group as a whole. The liquidity requirements of business units and subsidiaries are met through various funding options to cover any short-term fluctuations and longer term funding to address any structural liquidity requirements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2015 (Group)

	Up to 1 month Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 years Shs'000	Over 3 years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	76,215,364	29,777,110	8,865,564	7,258	6,678	114,871,974
Due to banking institutions	9,064,552	-	-	-	-	9,064,552
Borrowings	-	367,004	2,744,259	2,229,310	13,488,421	18,828,994
Total financial liabilities	85,279,916	30,144,114	11,609,823	2,236,568	13,495,099	142,765,520
FINANCIAL ASSETS						
Cash and balances with central banks	8,940,056	-	-	-	-	8,940,056
Items in the course of collection	848,819	-	-	-	-	848,819
Due from banking institutions	6,847,221	-	-	-	-	6,847,221
Government securities	164,881	2,330,495	8,001,701	5,248,026	14,317,626	30,062,729
Loans and advances to customers	42,832,145	6,086,589	11,840,034	32,164,024	47,146,926	140,069,718
Total financial assets	59,633,122	8,417,084	19,841,735	37,412,050	61,464,552	186,768,544
Net liquidity gap	(25,646,794)	(21,727,030)	8,231,912	35,175,482	47,969,453	44,003,024

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NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2015 (Bank)

	Up to 1 month Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 years Shs'000	Over 3 years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	72,149,063	28,202,104	7,089,064	7,258	6,678	107,454,167
Due to banking institutions	7,437,613	-	-	-	-	7,437,613
Borrowings	-	367,004	620,788	1,060,986	13,488,421	15,537,199
Total financial liabilities	79,586,676	28,569,108	7,709,852	1,068,244	13,495,099	130,428,979

FINANCIAL ASSETS

Cash and balances with Central Bank of Kenya	7,291,629	-	-	-	-	7,291,629
Items in the course of collection	804,882	-	-	-	-	804,882
Due from banking institutions	5,469,903	-	-	-	-	5,469,903
Government securities	-	2,008,213	5,924,199	5,074,412	14,094,408	27,101,232
Loans and advances to customers	41,128,447	4,972,440	9,504,913	29,062,323	47,040,095	131,708,218
Total financial assets	54,694,861	6,980,653	15,429,112	34,136,735	61,134,503	172,375,864
Net liquidity gap	(24,891,815)	(21,588,455)	7,719,260	33,068,491	47,639,404	41,946,885

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NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2014 (Group)

	Up to 1 month Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 years Shs'000	Over 3 years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	51,838,242	39,244,447	12,926,717	-	-	104,009,406
Due to banking institutions	5,511,242	-	-	-	-	5,511,242
Borrowings	-	-	837,380	1,661,953	12,577,071	15,076,404
Total financial liabilities	57,349,484	39,244,447	13,764,097	1,661,953	12,577,071	124,597,052
FINANCIAL ASSETS						
Cash and balances with Central Banks	4,571,838	3,654,664	2,312,994	-	-	10,539,496
Items in the course of collection	519,958	-	-	-	-	519,958
Due from banking institutions	8,760,044	10,917	-	-	-	8,770,961
Government securities	29,802	19,785	8,911,932	7,251,784	4,666,715	20,880,018
Derivative assets	118,781	-	-	-	-	118,781
Loans and advances to customers	16,448,401	10,816,149	23,069,660	41,131,920	29,607,283	121,073,413
Total financial assets	30,448,824	14,501,515	34,294,586	48,383,704	34,273,998	161,902,627
Net liquidity gap	(26,900,660)	(24,742,932)	20,530,489	46,721,751	21,696,927	37,305,575

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NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

b) Liquidity and funding risk (Continued)

How liquidity and funding risk is managed (Continued)

III Exposure to liquidity risk (Continued)

LIQUIDITY RISK (Undiscounted) – 2014 (Bank)

	Up to 1 month Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 months Shs'000	Over 3 years Shs'000	Total Shs'000
FINANCIAL LIABILITIES						
Customer deposits	47,837,859	38,196,742	10,540,141	-	-	96,572,742
Due to banking institutions	4,649,921	-	-	-	-	4,649,921
Borrowings	-	-	651,629	1,836,957	12,047,833	14,536,419
Total financial liabilities	52,487,780	38,196,742	11,191,770	1,836,957	12,047,833	115,761,082

FINANCIAL ASSETS

Cash and balances with Central Bank of Kenya	3,138,842	3,654,664	2,312,994	-	-	9,106,501
Items in the course of collection	484,521	-	-	-	-	484,521
Due from banking institutions	7,852,203	-	-	-	-	7,852,203
Government securities	-	19,785	5,900,337	6,230,560	4,584,054	16,734,736
Derivative assets	118,781	-	-	-	-	118,781
Loans and advances to customers	15,188,407	10,522,111	22,508,014	27,810,463	41,131,920	117,160,915
Total financial assets	26,782,754	14,196,560	30,721,345	34,041,023	45,715,974	151,457,657
Net liquidity gap	(25,705,026)	(24,000,182)	19,529,575	32,204,066	33,668,141	35,696,575

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk

Market risk is the risk that the values of assets and liabilities or revenues will be adversely affected by changes in market conditions or market movements. Market risks in the Group arise from movements in market prices particularly changes in interest rates, foreign currency exchange rates, fixed rate securities and equity prices which we are exposed to. It is often propagated by other forms of financial risks such as credit and market liquidity risk events. The objective of market risk management programs is to manage and control market risk exposures in order to optimise return on risk taken while maintaining a good market profile as a provider of financial products and services.

Who manages market risk?

The Board Risk Management Committee reviews and approves market risk policies and limits periodically or as the need arises. The Treasury Department in consultation with the Risk Management Department are responsible for the development of detailed market risk management policies, subject to review and support by ALCO and approval by the Board Risk Management Committee.

The Board receives quarterly reports of market risk exposures or activities through relevant ALCO minutes, and Treasury reports outlining current risk exposures against approved risk limits or appetite.

How market risk is managed

The Group's Asset & Liability Committee (ALCO) oversees the application of the framework set by the Board of Directors and monitors the Group's market risk exposures as well as activities that give rise to these exposures. Overall responsibility for the management of market risks rests with ALCO which reviews market risk activity reports monthly. Treasury is responsible for the day to day implementation of those policies or programs and limits.

In view of the fact that our market risk operations are not very complex, we basically use interest rates variance analysis models (against budget and prior month), interest rate gap analysis, proportion of interest sensitive deposits to total deposits, amongst other methodologies and key performance indicators, appropriate for our Group's operations. The management of market risk is supplemented by the monitoring of key market risk and economic performance variables.

The distinct market risk exposures faced by the Group are:

- Interest rate risk.
- Foreign exchange risk.
- Price risk.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk

Interest rate risk represents exposures to instruments whose values vary with the level or volatility of interest rates. These instruments include, but are not limited to loans, debt securities, certain traded assets and liabilities, deposits, borrowings and derivative instruments. Generally, hedging instruments used by banks to mitigate such risks include related derivatives such as options and swaps.

The Group is exposed to the risk that the value of a financial instrument will fluctuate due to changes in market interest rates, as funds are sourced and invested at both fixed and floating rates. The maturities of assets and liabilities, plus the ability to replace interest bearing liabilities at an acceptable cost as they mature, are important factors in assessing the Group's exposure to changes in interest rates. In addition to maintaining an appropriate mix between fixed and floating rates deposit base, interest rates on advances to customers and other risk assets are mainly pegged to the Kenya Bankers Reference Rate (KBRR) - for floating rate loans. The KBRR is adjusted every 6 months or when necessary (if earlier) to reflect prevailing market costs of Treasury bill rates and the Central Bank Reference rate.

Interest rates on customer deposits are negotiated between the Group and its customers, with the Group retaining the discretion to re-negotiate the rates at maturity in line with changes in market trends. The interest rates given or charged to clients therefore fluctuate depending on the movements in the market interest rates. The Group also invests in fixed interest rate instruments issued by the Government of Kenya, Tanzania and Uganda through their respective Central Banks. The interest rate risk assessment tables are found under pages 52 to 55.

The matching and controlled mismatching of the maturities and interest rates of assets and liabilities is fundamental to the management of the Group's interest rate risk. It is unusual for a bank ever to completely be matched due to the nature of business terms and types of products offered.

Interest rate risk – stress tests

The Group monitors the impact of risks associated with the effects of fluctuations in prevailing interest rates. At 31 December 2015, the following table summarises the estimated impact of an immediate hypothetical increase or decrease in interest rates of 125 basis points on consolidated profit before income tax expense, and current interest rate risk profile.

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>499,255</u>	<u>265,635</u>	125 basis points increases in interest rates	<u>375,861</u>	<u>375,861</u>
<u>(594,331)</u>	<u>(424,318)</u>	125 basis points decrease in interest rates	<u>(678,181)</u>	<u>(508,168)</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Group (2015)

	Effective rates %	Up to 1 month Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 years Shs'000	Over 3 years Shs'000	Non- interest bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with central banks	-	-	-	-	-	-	8,940,056	8,940,056
Items in the course of collection	-	-	-	-	-	-	848,819	848,819
Due from banking institutions	1.35	1,211,520	-	-	-	-	5,464,120	6,675,640
Government securities	10.45	139,881	2,259,964	7,418,467	3,995,859	14,096,876	-	27,911,047
Loans and advances to customers	12.10	105,654,890 107,006,291	1,290,320 3,550,284	3,483,046 10,901,513	2,004,250 6,000,109	2,225,138 16,322,014	- 15,252,995	114,657,644 159,033,206
Total financial assets								
FINANCIAL LIABILITIES								
Customer deposits	5.6	33,453,014	28,867,365	10,683,849	-	-	39,360,409	112,364,637
Due to banking institutions	5	9,064,552	-	-	-	-	-	9,064,552
Borrowings	8.57	-	362,759	2,723,208	2,128,232	10,141,990	-	15,356,190
Derivative liabilities	-	77,389	-	-	-	-	-	77,389
Total financial liabilities		42,594,955	29,230,124	13,407,057	2,128,232	10,141,990	39,360,409	136,862,768
Interest rate sensitivity gap		63,411,336	25,679,840	(2,505,544)	3,871,877	6,180,024	(24,107,414)	22,170,438

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NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Bank (2015)

	Effective rates %	Up to 1 month Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 years Shs'000	Over 3 years Shs'000	Non-interest bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with central banks	-	-	-	-	-	-	7,291,629	7,291,629
Items in the course of collection	-	-	-	-	-	-	804,882	804,882
Due from banking institutions	1.35	-	-	-	-	-	5,464,120	5,464,120
Government securities	10.45	-	1,937,681	5,340,965	3,822,245	13,912,104	-	25,012,995
Loans and advances to customers	12.1	103,951,191	176,171	1,147,925	768,610	472,155	-	106,516,052
Total financial assets		103,951,191	2,113,852	6,488,890	4,590,854	14,384,259	13,560,631	145,089,678
FINANCIAL LIABILITIES								
Customer deposits	5.6	30,111,198	27,292,359	8,879,809	-	-	38,910,634	105,194,000
Due to banking institutions	5.00	7,734,613	-	-	-	-	-	7,734,613
Borrowings	8.57	-	362,759	599,737	959,908	12,208,602	-	14,131,007
Derivatives Liabilities	-	77,389	-	-	-	-	-	77,389
Total financial liabilities		37,845,811	27,655,118	9,479,546	959,908	12,208,602	38,910,634	127,059,620
Interest rate sensitivity gap		66,105,380	(25,541,266)	(2,990,656)	3,630,946	2,175,657	(25,350,003)	18,030,058

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Group (2014)

	Effective rates	Up to 1 month	1 to 3 months	4 to 12 months	1 to 3 years	Over 3 years	Non-interest bearing	Total
	%	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
FINANCIAL ASSETS								
Cash and balances with central banks	-	2,996,570	-	-	-	62,276	7,480,649	10,539,496
Items in the course of collection	-	-	-	-	-	-	519,958	519,958
Due from banking institutions	2.3	7,353,488	829,330	-	-	-	571,092	8,753,909
Government securities	11.21	339,213	372,672	5,892,085	4,753,503	7,841,212	25,000	19,223,686
Derivative assets	-	-	-	-	-	-	118,781	118,781
Loans and advances to customers	13.11	92,158,730	1,282,316	3,230,987	1,773,803	2,129,494	-	100,575,330
Total financial assets		102,848,001	2,484,318	9,123,072	6,527,306	10,032,983	8,715,480	139,731,160
FINANCIAL LIABILITIES								
Customer deposits	4.91	32,476,458	38,012,294	11,968,522	51,562	-	17,926,118	100,434,954
Due to banking institutions	7.83	5,400,481	11,183	-	-	-	-	5,411,664
Borrowings	3.34	-	-	837,146	2,127,769	11,393,564	-	14,358,480
Total financial liabilities		37,876,939	38,023,477	12,805,668	2,179,331	11,393,564	17,926,118	120,205,098
Interest rate sensitivity gap		64,971,062	(35,539,160)	(3,682,596)	4,347,975	(1,360,582)	(9,210,638)	19,526,062

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market risk (Continued)

I. Interest rate risk (Continued)

INTEREST RATE RISK – Bank (2014)

	Effective Rates %	Up to 1 months Shs'000	1 to 3 months Shs'000	4 to 12 months Shs'000	1 to 3 years Shs'000	Over 3 years Shs'000	Non- interest bearing Shs'000	Total Shs'000
FINANCIAL ASSETS								
Cash and balances with Central Bank of Kenya	-	2,996,570	-	-	-	62,276	6,047,654	9,106,500
Items in the course of collection	-	-	-	-	-	-	484,521	484,521
Due from banking institutions	1.37	7,025,491	818,412	-	-	-	-	7,843,903
Government securities	10.81	-	19,090	3,900,709	4,693,100	7,841,212	-	16,454,111
Derivative assets held for risk management	-	-	-	-	-	-	118,781	118,781
Loans and advances to customers	12.24	90,425,163	-	1,006,980	366,510	1,158,577	-	92,957,230
Total financial assets		<u>100,447,224</u>	<u>837,502</u>	<u>4,907,689</u>	<u>5,059,610</u>	<u>9,062,065</u>	<u>6,650,956</u>	<u>126,965,046</u>
FINANCIAL LIABILITIES								
Customer deposits	4.71	29,025,729	36,964,589	9,581,946	-	-	17,218,814	92,791,078
Due to banking institutions	7.61	4,614,223	11,183	-	-	-	-	4,625,406
Borrowings	3.34	-	-	788,692	1,661,953	11,393,564	-	13,844,209
Total financial liabilities		<u>33,639,952</u>	<u>36,975,772</u>	<u>10,370,638</u>	<u>1,661,953</u>	<u>11,393,564</u>	<u>17,218,814</u>	<u>111,260,693</u>
Interest rate sensitivity gap		<u>66,807,272</u>	<u>(36,138,270)</u>	<u>(5,462,949)</u>	<u>3,397,657</u>	<u>(2,331,499)</u>	<u>(10,567,858)</u>	<u>15,704,353</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk

Foreign currency exchange risk refers to the potential changes in current and future earnings or capital arising from movements in foreign exchange market rates. The Group, through stringent intra-day and overnight exposure limits, ensures that the potential risk of loss arising from foreign exchange fluctuations to the Group's earnings and capital is within prudential guidelines and internal policies. Any material overnight position is covered by stop loss orders with our international counter-parties.

The Group is exposed to the risk that the value of foreign currency denominated financial instruments it holds will fluctuate due to changes in market foreign exchange rates. The Board of Directors periodically approves policies and limits on the maximum level of exposures by currency and in total for both overnight and intra-day positions. Foreign currency risk is addressed through the following measures:

- On a daily basis, the overall foreign exchange risk exposure is measured using spot mid-rates and does not exceed 10% of the Group's core capital.
- Any single currency exposure, irrespective of short or long positions does not exceed the limit of 10% of core capital.
- Intra-day and overnight foreign exchange positions are limited within strictly defined exposure and stop loss limits approved periodically by the Board Risk Management Committee.

The table on pages 54 to 57 summarise the Group's and Bank's exposure to foreign currency exchange rate risks.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

Foreign exchange risk – stress test

At 31 December 2015, if the functional currencies in the economic environment in which the Group operates i.e. the Kenya Shilling had weakened or strengthened by 10% against the world's major currencies, with all other variables held constant, consolidated profit before income tax expense would have been higher or lower as depicted in below table:

Bank			Group	
2015	2014		2014	2014
Shs'000	Shs'000		Shs'000	Shs'000
		10% depreciation/appreciation		
4,521	4,189	USD	4,602	8,769
72	72	GBP	76	9,456
155	201	EUR	202	6,278
36	36	Others	36	16,665
4,784	4,498	Total	4,916	41,168

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Group (2015)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with central banks	1,655,984	110,402	270,913	11,626	2,048,925
Due from banking institutions	4,043,390	1,580,622	986,337	673,238	7,283,587
Loans and advances to customers	48,411,217	728,667	1,554,423	3,176	50,697,483
Other assets	5,336,434	7,102	8,642	3,176	5,335,354
Total financial assets	59,447,025	2,426,793	2,820,315	691,216	65,365,349
FINANCIAL LIABILITIES					
Customer deposits	32,797,457	2,444,184	2,526,616	64,611	37,832,868
Due to banking institutions	6,892,262	82,820	30,096	213,202	7,218,380
Other liabilities	2,828,090	5,465	7,517	9,873	2,850,945
Borrowings	12,623,586	-	-	-	12,623,586
Total financial liabilities	55,141,395	2,532,469	2,564,229	287,685	60,525,779
Net balance sheet position	4,305,630	(105,676)	256,087	403,531	4,839,570
OFF BALANCE SHEET POSITION	4,742,649	158,387	(312,448)	747,598	5,336,185

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Group (2014)

FINANCIAL ASSETS	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
Cash and balances with central banks	863,812	119,473	78,052	36,694	1,098,031
Due from banking institutions	7,568,040	773,018	1,441,418	606,694	10,389,170
Loans and advances to customers	41,595,679	718,360	2,009,910	35,671	44,359,620
Other assets	199,443	1,368	809	126	201,746
Total financial assets	50,226,974	1,612,219	3,530,189	679,185	56,048,567
FINANCIAL LIABILITIES					
Customer deposits	28,948,791	1,547,715	2,087,997	43,351	32,627,854
Due to banking institutions	3,125,729	-	15,344	23,414	3,164,487
Other liabilities	2,283,780	9,119	49,526	1,652	2,344,077
Borrowings	8,906,294	-	-	-	8,906,294
Total financial liabilities	43,264,594	1,556,834	2,152,867	68,417	47,042,712
Net balance sheet position	6,962,380	55,385	1,377,322	610,768	9,005,855
OFF BALANCE SHEET POSITION	7,952,094	(2,046,675)	(469,050)	140,402	5,576,771

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Bank (2015)

	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
FINANCIAL ASSETS					
Cash and balances with Central Bank of Kenya	1,348,947	105,837	144,987	3,653	1,603,424
Due from banking institutions	2,575,936	1,569,653	951,985	673,238	5,770,812
Loans and advances to customers	43,082,759	728,667	1,554,423	3,176	45,369,024
Other assets	2,720,890	3,503	2,377	2,292	2,729,062
Total financial assets	49,728,532	2,407,660	2,653,772	682,359	55,472,323
FINANCIAL LIABILITIES					
Customer deposits	27,243,968	2,432,036	2,364,819	64,611	32,105,433
Due to banking institutions	4,731,883	82,505	30,052	11,664	4,856,104
Other liabilities	21,069	1,622	7,164	8,704	38,559
Borrowings	8,391,554	-	-	-	8,391,554
Total financial liabilities	40,388,474	2,516,163	2,402,035	84,979	45,391,651
Net balance sheet position	9,340,058	(108,503)	251,737	597,380	10,080,672
OFF BALANCE SHEET POSITION	(5,912,231)	158,387	(317,983)	(314,745)	(6,386,572)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Foreign exchange risk (Continued)

FOREIGN EXCHANGE (CURRENCY) RISK – Bank (2014)

FINANCIAL ASSETS	USD Shs'000	GBP Shs'000	EURO Shs'000	Others Shs'000	TOTAL Shs'000
Cash and balances with Central Bank of Kenya	687,163	119,461	77,069	33,844	917,537
Due from banking institutions	7,201,912	770,228	1,383,865	575,677	9,931,682
Loans and advances to customers	39,241,806	718,360	2,009,910	35,671	42,005,747
Other assets	195,100	1,368	809	126	197,403
Total financial assets	47,325,981	1,609,417	3,471,653	645,318	53,052,369
FINANCIAL LIABILITIES					
Customer deposits	28,207,832	1,544,687	2,087,997	43,351	31,883,867
Due to banking institutions	3,125,729	-	15,344	23,414	3,164,487
Other liabilities	113,630	9,119	49,526	1,652	173,927
Borrowings	8,108,711	-	-	-	8,108,711
Total financial liabilities	39,555,902	1,553,806	2,152,867	68,417	43,330,992
Net balance sheet position	7,770,079	55,611	1,318,786	576,901	9,721,377
OFF BALANCE SHEET POSITION	(8,636,082)	57,639	(1,205,674)	(198,383)	(9,982,500)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

c) Market Risk (Continued)

II. Price risk

Shares quoted in the Nairobi Securities Exchange ("NSE") i.e. "listed shares" are stated at their fair value on the last day of business in the year. These values are subject to frequent variations due to changes in their market prices.

At 31 December 2015, if the prices at the NSE had appreciated/depreciated by 5% with all other variables held constant, the impact on the statement of profit or loss, and shareholders' equity would have been Shs 7,067,000 (2014: Shs 6,126,000) higher/lower.

The Group's carries its unquoted equity investment in Tanzania Mortgage Refinance Company at fair value (Note 25). The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant.

d) Capital management

The Group's objectives when managing capital are:

- To safeguard the Group's ability to continue as a going concern in order to provide acceptable returns to the shareholders and benefits for other stakeholders while maintaining an optimal capital structure.
- To comply with capital requirements set by our regulators within the markets that the Group operates in.
- To maintain a strong capital base to support continued business development.
- To create an acceptable buffer catering for unexpected losses that the Group may incur in adverse market scenarios during the course of its business.
- To manage its capital structure and make adjustments to it according to changes in economic conditions and the risk characteristics of its activities. In order to maintain or adjust the capital structure, the Group may adjust the amount of dividend payment to shareholders, return capital to shareholders or issue capital securities.

The Group's objectives when managing capital are broadly covered as follows:

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

d) Capital management (Continued)

I Banking

In line with our industry, the broader concept of capital and its adequacy is based on guidelines developed by the Basel Committee's Accords and implemented for supervisory purposes by the central banks.

Central Bank of Kenya (CBK), Bank of Tanzania (BOT) and Bank of Uganda (BOU) largely segregate the total regulatory capital into two tiers;

- Tier 1 Capital (Core Capital), which includes ordinary share capital, share premium and retained earnings. The investment in subsidiaries or other financial institutions is deducted in arriving at tier 1 capital.
- Tier 2 Capital (Supplementary Capital) includes among others, 25% of property revaluation reserves (subject to regulatory approval) and collective impairment allowances.

The risk weighted assets are measured by means of a hierarchy of four risk weights classified according to the nature of, and reflecting an estimate of, the credit risk associated with each asset and counterparty. A similar treatment is adopted for off-balance sheet exposure, with some adjustments to reflect the more contingent nature of the potential losses.

During the year, the banks within the Group had complied in full with all its externally imposed capital requirements (2014: the same).

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
21,529,429	18,826,499	Tier 1 capital	23,455,029	20,722,594
8,827,078	8,513,693	Tier 2 capital	7,767,483	8,630,471
<u>30,356,507</u>	<u>27,340,192</u>	Tier 1 + Tier 2 capital	<u>31,222,512</u>	<u>29,353,065</u>
		Risk-weighted assets		
138,664,601	119,900,142	On-balance sheet	144,771,094	127,704,854
<u>10,742,417</u>	<u>11,144,400</u>	Off-balance sheet	<u>11,439,315</u>	<u>11,791,780</u>
<u>149,407,018</u>	<u>131,044,542</u>	Total risk-weighted assets	<u>156,210,409</u>	<u>139,496,634</u>
2015	2014	Regulatory ratios	Minimum requirements	
			2015	2014
14.41%	14.37%	Core capital/risk assets	10.50%	10.50%
20.47%	20.47%	Core capital/deposits	8.00%	8.00%
20.32%	20.86%	Total capital/risk assets	14.50%	14.50%

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

d) Capital management (Continued)

II Investment banking and stock brokerage businesses

The Capital Markets Authority, which regulates the Group's Investment Banking and Stock Brokerage businesses i.e. NIC Capital Limited and NIC Securities Limited respectively, prescribes minimum capitalisation requirements and a working capital of not below 20% of the prescribed minimum shareholders' funds or three times the average monthly operating costs whichever is higher. The subsidiaries maintained their capital together with the other requirements well above the minimum requirements as outlined below:

	NIC Capital Shs'000	NIC Securities Shs 000
Minimum capital	250,000	50,000
Capital held at:		
31 December 2015	518,275	391,914
31 December 2014	518,764	349,230

e) Fair value of financial assets and liabilities

IFRS 7 specifies a hierarchy of valuation techniques based on whether inputs used in the valuation techniques of financial instruments are observable or unobservable. Financial instruments are grouped into 3 levels based on the degree to which fair value data / input is observable.

- i) Level 1 fair value measurements are those derived from quoted prices (unadjusted) in active trading markets for identical assets or liabilities. This level includes listed debt and equity instruments traded mainly on the Nairobi Securities Exchange ("NSE").
- ii) Level 2 fair value measurements are those derived from inputs other than quoted prices that are observable for the asset or liability, either directly (i.e. as a price) or indirectly (i.e. derived from prices). Input data for this category is sourced mainly from Reuters and the NSE. The external valuation of buildings has been performed using a sales comparison approach.
- iii) Level 3 fair value measurements are those derived from valuation techniques that include inputs that are not based on observable market data (unobservable inputs). The fair value of the Group's investment in Tanzania Mortgage Refinance Company is equal to the cost of shares purchased in the company. The variability in the range of reasonable fair value estimates for this investment is not significant.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

e) Fair value of financial assets and liabilities (Continued)

The table below shows an analysis of financial instruments at fair value by level of the fair value hierarchy.

Bank				Group	
2015	2014			2015	2014
Shs'000	Shs'000		Note	Shs'000	Shs'000
Level 1					
-	-	Treasury bonds - fair value through profit and loss	20	-	126,762
19,703,042	13,256,988	Treasury bonds – available for sale	20	20,443,709	13,581,129
-	-	Quoted shares at fair value	25	142,348	123,780
<u>19,703,042</u>	<u>13,256,988</u>			<u>20,586,057</u>	<u>13,831,671</u>
Level 2					
-	118,781	Derivative assets	21	-	118,781
370,000	370,000	Buildings		370,000	370,000
<u>370,000</u>	<u>488,781</u>			<u>370,000</u>	<u>488,781</u>
Level 3					
-	-	Unquoted equity security in Tanzania Mortgage Refinance Company		23,650	25,380

The table below shows an analysis of the fair value of financial instruments that are not carried at fair value by level of the fair value hierarchy.

Bank				Group	
2015	2014			2015	2014
Shs'000	Shs'000		Note	Shs'000	Shs'000
Level 1					
5,309,953	3,197,123	Government securities – held to maturity	20	7,468,197	5,515,795
Level 2					
Financial assets					
7,291,629	9,106,501	Cash and balances with central banks	17	8,940,056	10,539,496
804,882	484,521	Items in the course of collection	18	848,819	519,958
5,464,120	7,843,903	Due from banking institutions	19	6,675,640	8,753,909
106,516,052	92,957,230	Loans and advances to customers	22	114,657,644	100,575,330
2,436,739	2,098,420	Due from group companies	24	-	-
1,351,658	1,466,805	Investments	25	1,517,656	1,615,965
<u>123,865,080</u>	<u>113,957,380</u>			<u>132,639,815</u>	<u>122,004,658</u>
Financial liabilities					
105,194,000	92,791,078	Customer deposits	30	112,364,637	100,434,954
7,734,613	4,625,406	Due to banking institutions	31	9,064,552	5,411,664
14,131,007	13,844,209	Borrowings	32	15,356,190	14,358,480
1,059,017	809,452	Due to group companies	33	-	-
<u>128,118,637</u>	<u>112,070,145</u>			<u>136,785,379</u>	<u>120,205,098</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

4) Financial risk management objectives (Continued)

Group risk management framework and governance structures (Continued)

e) Fair value of financial assets and liabilities (Continued)

There were no transfers between levels 1, 2 and 3 in the period and for level 3, there was no movement.

- i) Level 1 – We have determined the fair value using quoted prices (unadjusted) from the Nairobi Securities Exchange.
- ii) Level 2 – The fair value of these balances is equal to their amortised cost.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Critical accounting estimates and judgments in applying the Group's accounting policies

I Impairment losses on loans and advances

The Group reviews its loan portfolios to assess impairment regularly. In determining whether an impairment loss should be recorded in the income statement, the Group makes judgements as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows from a portfolio of loans, before a decrease can be identified with an individual loan in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the payment status of borrowers in a Group, or national or local economic conditions that correlate with defaults on assets in the Group. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss experience.

II Held -to-maturity investments

The Group follows the guidance of IAS 39 on classifying non-derivative financial assets with fixed or determinable payments and fixed maturity as held-to-maturity. This classification requires significant judgement. In making this judgement, the Group evaluates its intention and ability to hold such investments to maturity. If the Group fails to keep these investments to maturity other than for the specific circumstances – for example, selling an insignificant amount close to maturity – it will be required to reclassify the entire class as available-for-sale. The investments would therefore be measured at fair value and not amortised cost.

III Goodwill impairment

The Group's accounting policy for goodwill is described in Note 3 (n) I. Goodwill is allocated to cash-generating units ('CGU') for the purpose of impairment testing. When the process of identifying and evaluating goodwill impairment demonstrates that the expected cash flows of a CGU have declined and/or that its cost of capital has increased, the effect is to reduce the CGU's estimated fair value. If this results in an estimated recoverable amount that is lower than the carrying amount of the CGU, a charge for impairment of goodwill will be recorded, thereby reducing by a corresponding amount the Group's profit for the year. Goodwill is stated at cost less accumulated impairment losses. Significant management judgement is involved in determining the cost of capital assigned to an individual CGU and in estimating its future cash flows.

IV Property and equipment

Critical estimates are made by the directors in determining depreciation rates for property and equipment.

V Fair value of trade receivables and payables

The carrying value less impairment provision of trade receivables and payables are assumed to approximate their fair values. The fair value of financial liabilities for disclosure purposes is estimated by discounting the future contractual cash flows at the current market interest rate that is available to the Group for similar financial instruments.

VI Taxes

The Group is subjected to numerous taxes and levies by various government and quasi- government regulatory bodies. As a rule of thumb, the Group recognises liabilities for the anticipated tax/levies payable with utmost care and diligence. However, significant judgment is usually required in the interpretation and applicability of those taxes/levies. Should it come to the attention of management, in one way or the other, that the initially recorded liability was erroneous, such differences will impact on the income and liabilities in the period in which such differences are determined.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

5) Critical accounting estimates and judgments in applying the Group's accounting policies (Continued)

VII Valuation of financial instruments

The fair value of financial instruments where no active market exists or where quoted prices are not otherwise available are determined by using valuation techniques. In these cases, the fair values are estimated from observable data in respect of similar financial instruments or using models. Where market observable inputs are not available, they are estimated based on appropriate assumptions. Where valuation techniques (for example, models) are used to determine fair values, they are validated and periodically reviewed by qualified personnel independent of those that sourced them. The directors believe that the chosen valuation techniques and assumptions used in the valuation of its investments in NSE shares are appropriate in determining the fair value of financial instruments.

VIII Classification of leases of land and buildings as finance or operating leases

At the inception of each lease of land or building, the Group considers the substance rather than the form of the lease contract. Examples of situations that individually or in combination would normally lead to a lease being classified as a finance lease are:

- The lease transfers ownership of the asset to the lessee by the end of the lease term;
- The lessee has the option to purchase the asset at a price that is expected to be sufficiently lower than the fair value at the date the option becomes exercisable for it to be reasonably certain, at the inception of the lease, that the option will be exercised;
- The lease term is for the major part of the economic life of the asset even if title is not transferred;
- At the inception of the lease the present value of the minimum lease payments amounts to at least substantially all of the fair value of the leased asset; and
- The leased assets are of such a specialised nature that only the lessee can use them without major modifications.

The Group also considers indicators of situations that individually or in combination could also lead to a lease being classified as a finance lease. Examples of such indicators include:

- If the lessee can cancel the lease, the lessor's losses associated with the cancellation are borne by the lessee;
- gains or losses from the fluctuation in the fair value of the residual accrue to the lessee (for example, in the form of a rent rebate equalling most of the sales proceeds at the end of the lease); and
- the lessee has the ability to continue the lease for a secondary period at a rent that is substantially lower than market rent.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments

a) Geographical segments

The Group operations are within three geographical segments, Kenya, Tanzania and Uganda. The table below contains segmental information provided to the Chief Operating Decision Maker (the Group Executive Committee of management) for the year ended 31 December 2015.

2015	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Total Shs'000
Interest income	15,509,237	881,908	622,987	17,014,132
Interest expense	(6,616,694)	(400,012)	(254,893)	(7,271,599)
Net income	8,892,543	481,896	368,095	9,742,533
Credit impairment Charges	(1,539,452)	(106,138)	(6,885)	(1,652,475)
Net interest income after credit impairment charges	7,353,091	375,758	361,209	8,090,058
Net fee, commission trading and other income	3,588,289	282,906	84,438	3,955,633
Operating income	10,941,380	658,664	445,648	12,045,692
Depreciation and amortisation	(383,689)	(66,019)	(42,748)	(492,455)
Other operating expenses	(4,307,593)	(488,360)	(360,009)	(5,155,962)
Profit before income tax	6,250,098	104,286	42,891	6,397,275
Income tax expense	(1,873,683)	(31,286)	(7,181)	(1,912,150)
Profit for the year	4,376,415	73,000	35,710	4,485,125
Loans and advances to customers	106,516,052	4,298,400	3,843,192	114,657,644
Customer deposits	105,194,000	5,322,620	1,848,017	112,364,637
Additions to non-current assets	495,810	(107,160)	35,417	424,067
Non-current assets	1,889,335	131,231	139,281	2,168,847
2014	Kenya Shs'000	Tanzania Shs'000	Uganda Shs'000	Total Shs'000
Interest income	12,376,325	927,740	407,003	13,711,068
Interest expense	(5,074,013)	(489,165)	(149,771)	(5,712,949)
Net income	7,302,312	438,575	257,232	7,998,119
Credit impairment Charges	(295,494)	(26,171)	(7,467)	(329,133)
Net interest income after credit impairment Charges	7,006,818	412,404	249,765	7,668,987
Net fee, commission trading and other income	3,231,560	238,784	37,795	3,508,139
Operating income	10,238,378	651,188	287,560	11,177,126
Depreciation and amortisation	(393,019)	(81,660)	(29,956)	(504,635)
Other operating expenses	(3,686,149)	(513,701)	(241,991)	(4,441,841)
Profit before income tax	6,159,210	55,827	15,612	6,230,650
Income tax (expense)/credit	(2,104,050)	(15,011)	5,068	(2,113,976)
Profit for the year	4,055,160	40,816	20,698	4,116,674
Loans and advances to customers	92,957,230	4,404,867	3,213,233	100,575,330
Customer deposits	92,791,078	6,194,331	1,449,545	100,434,954
Additions to non-current assets	(71,458)	(50,460)	13,205	(108,713)
Non-current assets	1,402,525	238,391	103,864	1,744,780

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments (Continued)

b) Business segments

The Group maintains the following business segments for allocation of resources and assessment of performance.

I. Corporate, Commercial and Institutional banking

Targets medium to large corporate clientele and institutions, with a focus on liability mobilization and asset growth.

II. Treasury dealing and brokerage

Treasury dealing targets corporate clientele and institutions, with a focus on those with a foreign exchange component in their business, whereas the stock brokerage focuses on the execution of transactions at the Nairobi Securities Exchange on behalf of high net worth and institutional clients.

III. Retail banking (SME and Personal banking)

Targets the mass affluent to high net worth and business banking clientele, with a focus on becoming the customers' core deposit, transactional banker and financier. This also includes our asset finance product.

IV. Investment banking

Targets large and medium sized companies for research, advisory and capital restructuring requirements.

The segment information provided to the Executive Committee of management for the reported segments is contained on the next page. There were no changes in the reportable segments during the year.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

6) Operating segments (Continued)

Segmental reporting – by business segments

	Corporate and Institutional banking Shs'000	Treasury Dealing and Brokerage Shs'000	Retail Banking Shs'000	Investment banking & others Shs'000	Total Shs'000
2015					
Total operating income	4,806,154	2,566,786	4,204,814	2,120,414	13,698,167
Profit before income tax and credit impairment charges	3,845,718	2,135,179	1,524,165	544,688	8,049,750
Customer loans and advances	70,280,784	-	34,506,595	9,870,265	114,657,644
Customer deposits	58,027,125	8,715,494	36,655,593	8,966,425	112,364,637
2014					
Total operating income	3,666,379	3,119,372	3,465,137	1,255,370	11,506,258
Profit before income tax and credit impairment charges	3,297,276	1,531,423	1,492,007	239,077	6,559,783
Customer loans and advances	62,747,598	-	31,728,082	6,099,650	100,575,330
Customer deposits	62,977,611	-	29,605,395	7,851,948	100,434,954

Liabilities and all other assets, other than advances to customers, are not directly attributable and neither can they be allocated to a particular segment. Consequently, these have not been included in segment information.

There were no revenues deriving from transactions with a single external customer that amounted to 10% or more of the Group's revenues.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

7) Interest income

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
		Loans and advances to customers		
3,405,348	2,977,065	Finance leases	3,670,198	2,982,837
9,502,577	7,402,830	Other	10,287,811	8,386,187
<u>12,907,925</u>	<u>10,379,895</u>		<u>13,958,009</u>	<u>11,369,024</u>
-	-	Government securities		
443,155	380,435	Held to maturity	700,622	647,777
-	-	At fair value through profit or loss	-	24,033
1,896,697	1,404,156	Available-for-sale	2,021,338	1,407,945
<u>2,339,852</u>	<u>1,784,591</u>		<u>2,721,959</u>	<u>2,079,755</u>
261,460	211,839	Due from banking institutions	334,164	262,289
<u>15,509,237</u>	<u>12,376,325</u>		<u>17,014,132</u>	<u>13,711,068</u>

Included within various captions under interest income for the year ended 31 December 2015 is a total of Shs 34,864,000 (2014: Shs 30,879,000) accrued on previously impaired financial assets.

8) Interest expense

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
5,406,341	4,567,464	Customer deposits	5,836,295	5,062,509
170,924	366,093	Due to banking institutions	1,196,838	440,751
1,083,900	163,289	Borrowings	238,465	209,689
<u>6,661,165</u>	<u>5,096,846</u>		<u>7,271,599</u>	<u>5,712,949</u>

9) Net fee and commission income

Fee and commission income

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
1,116,683	983,368	Credit related fees and commissions	1,202,807	1,060,521
554,093	372,781	Service/transaction fees	641,623	471,772
<u>1,670,776</u>	<u>1,356,149</u>		<u>1,844,430</u>	<u>1,532,293</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

9) Net fee and commission income (Continued)

Fee and commission expense

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
25,713	23,739	Credit card related expenses	25,713	23,739
38,081	28,544	Transactional expenses	50,814	41,302
<u>63,794</u>	<u>52,283</u>		<u>76,527</u>	<u>65,041</u>

10) Net trading income

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
1,257,433	1,039,583	Foreign exchange income	1,431,231	1,142,181
134,481	305,199	Trading income	135,350	305,886
-	-	Fair value loss on investment in quoted shares (note 25(a))	(3,490)	(11)
<u>1,391,914</u>	<u>1,344,782</u>		<u>1,563,091</u>	<u>1,448,056</u>

11) Other operating income

The following items are included in other operating income:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
6,171	8,592	Rental income	3,155	5,050
(6)	1,151	(Loss)/gain on disposal of motor vehicle and equipment (note 39(c))	(6)	1,151
10,077	656	Bad debt recoveries	38,507	8,337
116,178	104,753	Trust and other fiduciary fees	116,178	104,753

12) Credit impairment charges

a) Specific allowance for impairment

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
2,301,711	1,996,236	At start of year	2,680,360	2,592,033
1,450,843	376,358	Charge for the year	1,560,082	402,722
(1,363,815)	(70,883)	Write-offs	(1,463,815)	(314,395)
<u>2,388,739</u>	<u>2,301,711</u>	At end of year	<u>2,776,627</u>	<u>2,680,360</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

12) Impairment on loans and advances (Continued)

b) Collective allowance for impairment

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
62,157	143,021	At start of year	65,094	170,102
88,609	(80,864)	Charge for the year	89,646	(105,088)
<u>150,766</u>	<u>62,157</u>	At end of year	<u>154,740</u>	<u>65,094</u>

c) Total allowance for impairment

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
2,363,868	2,139,347	At start of year	2,745,454	2,762,135
1,539,452	295,494	Charge for the year	1,652,475	329,133
(1,363,815)	(70,973)	Write-offs	(1,463,815)	(314,395)
<u>2,539,505</u>	<u>2,363,868</u>	At end of year	<u>2,931,367</u>	<u>2,745,454</u>

13) Employee benefits

The following items are included under employee benefits:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
2,155,055	1,771,191	Salaries and wages	2,632,868	2,174,346
2,530	5,032	Gratuity provision	2,530	5,032
16,370	14,551	Directors' emoluments - fees	35,008	31,562
151,749	133,908	- other	212,034	188,836
1,542	2,395	Pension costs - statutory contributions	29,033	25,285
138,910	124,862	Pension costs - defined contributions	152,436	135,881
<u>2,466,156</u>	<u>2,051,939</u>		<u>3,063,909</u>	<u>2,560,942</u>

The total number of employees as at 31 December 2015 for the Group was 1,164 (2014: 1,001).

NOTES TO THE FINANCIAL STATEMENTS (Continued)

14) (a) Depreciation and amortisation

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
199,332	215,287	Depreciation (note 27)	276,853	297,153
183,067	176,442	Amortisation of computer software (note 28 (a))	215,477	207,357
125	125	Amortisation of operating lease (note 29)	125	125
<u>382,524</u>	<u>391,854</u>		<u>492,455</u>	<u>504,635</u>

14) (b) Other operating expenses

The following items are included in other operating expenses:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
189,908	173,819	Rental charges	311,404	290,441
95,740	93,585	Other premises costs	124,194	108,263
194,973	149,611	IT expenses	215,796	168,347
172,610	135,172	Publicity and advertising	180,874	144,555
130,130	116,067	Deposit protection fund	143,582	129,823
22,445	24,092	Share registration costs	22,445	24,092
10,500	4,500	Auditor's remuneration	22,010	13,108

15) Income tax

a) Income tax expense

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
Current income tax				
2,331,269	1,992,665	Current year	2,378,402	2,044,527
-	(19,102)	Prior year under/(over) provision	10,459	(20,071)
<u>2,331,269</u>	<u>1,973,563</u>		<u>2,388,860</u>	<u>2,024,456</u>
Deferred income tax (note 26)				
(329,657)	94,962	Current year	(334,042)	95,931
(133,279)	(6,411)	Prior year over provision	(142,668)	(6,411)
<u>1,868,333</u>	<u>2,062,114</u>		<u>1,912,150</u>	<u>2,113,976</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

15) Income tax (Continued)

b) Reconciliation of tax expense to expected tax base based on accounting profit

The tax on the profit before income tax differs from the tax charge that would apply if all profit had been taxed using the statutory income tax rate:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>6,259,656</u>	<u>6,081,281</u>	Profit before income tax	<u>6,397,275</u>	<u>6,230,650</u>
1,877,897	1,824,384	Income tax - at the statutory rate of 30 % (2014: 30%)	1,919,183	1,869,195
76,576	816,245	Tax effect of expenses not deductible for tax	139,934	816,133
47,139	(553,002)	Tax effect of revenues that are not taxable	(14,758)	(544,870)
-	(19,102)	Prior year (over)/under provision:		
(133,279)	(6,411)	Current tax	10,459	(20,071)
<u>1,868,333</u>	<u>2,062,114</u>	Deferred tax	<u>(142,668)</u>	<u>(6,411)</u>
			<u>1,912,150</u>	<u>2,113,976</u>

c) Current income tax liability/(asset) movement

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
(56,570)	183,455	As start of year	(172,572)	117,862
-	-	Exchange difference on translation	(33,401)	(30,172)
2,331,269	1,992,665	Tax charge (note 15(a)) - current year	2,378,402	2,044,527
-	(19,102)	Tax charge (note 15(a)) - prior year	10,459	(20,071)
(2,136,132)	(2,213,588)	Income tax paid	(2,147,137)	(2,284,718)
<u>138,567</u>	<u>(56,570)</u>	At end of year	<u>35,751</u>	<u>(172,572)</u>
-	(56,570)	<i>Comprising:</i>		
138,567	-	Current income tax asset	(112,729)	(185,185)
<u>138,567</u>	<u>(56,570)</u>	Current income tax liability	<u>148,480</u>	<u>12,613</u>
			<u>35,751</u>	<u>(172,572)</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

16) Earnings per share

Earnings per share is calculated by dividing the profit attributable to equity holders of the Bank by the weighted average number of ordinary shares outstanding during the year.

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>4,391,323</u>	<u>4,019,167</u>	Profit attributable to equity holders of the Bank	<u>4,477,355</u>	<u>4,120,855</u>
		Weighted average number of shares for purposes of basic and diluted earnings per share:		
639,945,603	542,984,148	Issued ordinary shares at start of year	639,945,603	542,984,148
-	3,555,253	Effects of rights issue exercised	-	3,555,253
-	36,198,943	Effects of bonus shares issued	-	36,198,943
<u>639,945,603</u>	<u>582,738,344</u>	At end of year	<u>639,945,603</u>	<u>582,738,344</u>
<u>6.86</u>	<u>6.90</u>	Earnings per share (Shs)	<u>7.00</u>	<u>7.07</u>

The calculation of basic and diluted earnings per share is based on continuing operations attributable to the ordinary equity holders of the Bank. There were no discontinued operations during the year.

17) Cash and balances with central banks

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
1,290,137	1,026,642	Cash on hand	1,662,734	1,472,964
		Balances with central banks:		
-	2,996,571	Reverse purchase agreement	-	2,996,571
557,516	300,367	Other (available for use by the Group)	1,160,263	499,728
		Included in cash and cash equivalents (note 39 (b))		
1,847,653	4,323,580		2,822,997	4,969,263
5,443,976	4,782,921	Mandatory reserve deposits	6,117,059	5,570,233
<u>7,291,629</u>	<u>9,106,501</u>		<u>8,940,056</u>	<u>10,539,496</u>

The mandatory reserve deposits represent regulatory cash ratio requirements based on the customer deposits with the Group. At 31 December 2015, the cash ratio requirement was 5.25% (2014: 5.25%) in Kenya, 10.0% (2014: 10.0%) in Tanzania and 8.5% (2014: 8.5%) in Uganda of eligible deposits. These funds are not available for the day to day operations of the Group and are non interest earning.

Amounts included in cash and cash equivalents are current. Mandatory reserve deposits are non-current.

Cash and balances with central banks are classified as 'loans and receivables'.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

18) Items in the course of collection

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
804,882	484,521	Clearing account balances	848,819	519,958

Items in the course of collection are current and are classified as 'loans and receivables'.

19) Due from banking institutions

Balances due from banking institutions are current and are classified as 'loans and receivables'.

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
-	889,249	Deposits due from banking institutions	1,211,520	1,799,255
5,464,120	6,954,654	Balances due from banking institutions	5,464,120	6,954,654
5,464,120	7,843,903		6,675,640	8,753,909
3.39%	2.70%	Weighted average effective interest rate	3.97%	3.00%

20) Government securities

Securities held to maturity are stated at amortised cost while those classified as "Fair value through profit or loss" and "available-for-sale" are stated at fair value.

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
19,703,042	13,256,988	Available-for-sale	20,443,709	13,581,129
5,309,953	3,197,123	Held to maturity	7,468,197	5,515,795
-	-	Fair value through profit or loss	-	-
25,012,995	16,454,111	Held for trading	27,911,907	126,762
				19,223,686

The table below summarises the weighted average effective interest rate for government securities.

Bank			Group	
2015	2014		2015	2014
%	%		%	%
9.49	10.42	Available-for-sale	9.26	11.76
8.35	11.09	Held to maturity	9.38	10.89
-	-	Fair value through profit or loss	-	9.92

NOTES TO THE FINANCIAL STATEMENTS (Continued)

20) Government securities (Continued)

b) The maturity profile of Government securities is as follows:

Group	Available-for-sale	Held to maturity	Designated at fair value through profit or loss	Total
	Shs'000	Shs'000	Shs'000	Shs'000
At 31 December 2015				
Included in cash and cash equivalents (Note 39 (c))	696,158	1,612,186	-	2,308,344
Less than 1 year	2,580,837	5,553,547	-	8,134,384
1-5 years	9,685,290	302,464	-	9,987,754
Over 5 years	7,481,413	-	-	7,481,413
	<u>20,443,698</u>	<u>7,468,197</u>	<u>-</u>	<u>27,911,895</u>

At 31 December 2014				
Included in cash and cash equivalents (Note 39 (c))	-	696,965	-	696,965
Less than 1 year	1,881,810	1,518,813	126,762	3,527,385
1-5 years	7,064,823	3,194,357	-	10,259,180
Over 5 years	4,634,496	105,660	-	4,740,156
	<u>13,581,129</u>	<u>5,515,795</u>	<u>126,762</u>	<u>19,223,686</u>

Bank	Available-for-sale	Held to maturity	Total
	Shs'000	Shs'000	Shs'000
At 31 December 2015			
Included in cash and cash equivalents (Note 39 (c))	329,884	1,612,186	1,942,070
Less than 1 year	2,424,489	3,395,303	5,819,792
1-5 years	9,534,674	302,464	9,837,138
Over 5 years	7,413,995	-	7,413,995
	<u>19,703,042</u>	<u>5,309,953</u>	<u>25,012,995</u>

At 31 December 2014			
Included in cash and cash equivalents (Note 39 (c))	-	202,520	202,520
Less than 1 year	1,881,810	2,094,653	3,976,463
1-5 years	6,766,282	794,290	7,560,572
Over 5 years	4,608,896	105,660	4,714,556
	<u>13,256,988</u>	<u>3,197,123</u>	<u>16,454,111</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

21) Derivative assets

The amount represents the fair value of forward foreign exchange contracts. These derivative assets and liabilities are measured at fair value through profit or loss. Notional principal amounts are the amounts underlying the contract at the reporting date.

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>(77,389)</u>	<u>118,781</u>	Fair value ((liability)/asset)	<u>(77,389)</u>	<u>118,781</u>
<u>21,346,126</u>	<u>30,381,438</u>	National value	<u>21,346,126</u>	<u>32,567,890</u>

Derivative assets are current.

22) Loans and advances to customers

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
23,089,696	22,463,366	Finance lease receivables	23,631,076	23,071,819
74,798,585	64,021,727	Commercial loans	82,790,660	71,412,960
11,167,276	8,836,005	Bills discounted	11,167,276	8,836,005
<u>109,055,557</u>	<u>95,321,098</u>	Gross loans and advances to customers	<u>117,589,012</u>	<u>103,320,784</u>
		Provisions for impairment		
2,388,739	2,301,711	Specific allowance	2,776,627	2,680,360
150,766	62,157	Collective allowance	154,741	65,094
<u>2,539,505</u>	<u>2,363,868</u>	Total impairment	<u>2,931,368</u>	<u>2,745,454</u>
<u>106,516,052</u>	<u>92,957,230</u>	Net loans and advances to customers	<u>114,657,644</u>	<u>100,575,330</u>
		Net non-performing loans and advances to customers		
<u>9,776,326</u>	<u>942,381</u>		<u>10,451,907</u>	<u>1,351,648</u>

Finance lease receivables, may be analysed as follows:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
3,161,107	3,286,614	Not later than 1 year	3,382,513	3,302,462
<u>19,928,589</u>	<u>19,176,752</u>	Later than 1 year and not later than 5 years	<u>20,248,563</u>	<u>19,769,357</u>
		Present value of minimum lease payments receivable		
<u>23,089,696</u>	<u>22,463,366</u>		<u>23,631,076</u>	<u>23,071,819</u>
		Accumulated allowance for uncollectible minimum lease payments receivable		
<u>912,647</u>	<u>1,239,449</u>		<u>912,647</u>	<u>1,239,449</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

22) Loans and advances to customers (Continued)

The Group and Bank enter into finance leasing arrangements for certain plant, equipment, motor vehicles and aircraft. The average term of finance leases entered into is 3 years. Unguaranteed residual values of assets leased under finance leases are estimated at nil (2014: nil).

There are no contingent rents recognised as income in 2014 and 2015.

The weighted average effective interest rates on loans and advances to customers were as follows:

Bank			Group	
2015	2014		2015	2014
%	%		%	%
14.55	14.08	Finance lease receivables	14.52	14.08
11.22	11.54	Commercial loans	11.55	11.58
9.10	8.69	Bills discounted	9.10	8.69
Shs'000	Shs'000		Shs'000	Shs'000
50,851,355	45,403,980	Current	56,937,469	49,944,378
55,664,697	47,553,250	Non-current	57,720,175	50,630,952
<u>106,516,052</u>	<u>92,957,230</u>		<u>114,657,644</u>	<u>100,575,330</u>

23) Other assets

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
169,408	165,176	Prepayments	225,119	205,071
860,959	895,156	Other receivables	920,754	927,506
-	-	Trade receivables	47,121	154,122
<u>1,030,367</u>	<u>1,060,332</u>		<u>1,192,994</u>	<u>1,286,699</u>

Other assets are current. Other assets, excluding prepayments, are classified as 'loans and receivables'.

24) Due from group companies

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
10,246	8,510	NIC Capital	-	-
13,778	9,882	NIC Securities	-	-
343	-	NIC Insurance	-	-
31	-	NIC Leasing	-	-
2,769	-	Mercantile Finance	-	-
357,904	166,239	NIC Bank Tanzania	-	-
2,051,668	1,913,789	NC Bank Uganda	-	-
<u>2,436,739</u>	<u>2,098,420</u>		<u>-</u>	<u>-</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

24) Due from group companies (Continued)

The Company has related party transactions with certain of its subsidiaries. These transactions which are primarily short term in nature, include cash accounts, charges for operational support and the borrowing or lending of funds, and are entered into in the ordinary course of business. These are on the same terms as comparable transactions with third parties.

25) Investments

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
4,357,701	3,931,501	Investment in subsidiaries (Note 25 (b))	-	-
-	-	Available-for-sale investments	11,410	15,155
-	-	Unquoted equity security in Tanzania Mortgage		
-	-	Refinance Company	23,650	25,380
1,351,658	1,466,805	Corporate bonds	1,351,658	1,466,805
-	-	Quoted equity investment in Nairobi Securities Exchange	130,938	108,625
<u>5,709,359</u>	<u>5,398,306</u>		<u>1,517,656</u>	<u>1,615,965</u>

Investment in subsidiaries is non-current. The other investments are current.

a) The movement in investments is as follows:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
5,398,306	5,440,670	At start of year	1,615,965	2,325,637
-	-	Exchange differences on translation	(1,730)	(90)
-	550,000	Acquisition of NIC Properties	-	-
-	-	Available-for-sale investments	(3,745)	(18,835)
(115,147)	(608,372)	Corporate bonds	(115,147)	(608,372)
-	16,008	Investment in NIC Bank Tanzania	-	-
376,200	-	Investment in NC Bank Uganda	-	-
50,000	-	Investment in NIC Leasing LLP	-	-
-	-	Changes in fair value - Quoted equity investment in Nairobi Securities Exchange	22,313	(82,375)
<u>5,709,359</u>	<u>5,398,306</u>	At end of year	<u>1,517,656</u>	<u>1,615,965</u>

Investments, excluding investments in subsidiaries, are classified as 'assets at fair value through profit and losses. None of the financial assets are impaired.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

25) Investments (Continued)

b) Investment in subsidiaries (at cost)

Bank Subsidiary	Principal activity	Holding %	2015 Shs'000	2014 Shs'000
NC Bank Uganda	Banking	100	1,513,738	1,137,538
NIC Bank Tanzania	Banking	69.84	1,692,462	1,692,462
NIC Capital	Financial advisory	100	500,000	500,000
NIC Insurance Agents	Insurance agency	100	1,000	1,000
National Industrial Credit Trustees	Dormant	100	500	500
Mercantile Finance Company	Dormant	100	50,000	50,000
The African Mercantile Banking Company	Dormant	100	1	1
NIC Properties	Property	100	550,000	550,000
NIC Leasing LLP	Leasing	100	50,000	-
			<u>4,357,701</u>	<u>3,931,501</u>

NIC Capital Limited has a subsidiary, NIC Securities Limited whose results have been incorporated in these financial statements. Details of NIC Securities Limited at cost are as follows:

Name	Principal Activity	Holding	2015 Shs'000	2014 Shs'000
NIC Securities Limited	Brokerage services	100%	<u>456,240</u>	<u>456,240</u>

All the subsidiary companies have their financial year end as 31 December and are incorporated as limited liability companies apart from NIC Leasing, which is incorporated as a limited liability partnership. Except for NIC Bank Tanzania Limited and NC Bank Uganda Limited which are incorporated and domiciled in Tanzania and Uganda respectively, all other subsidiaries are incorporated and domiciled in Kenya.

NC Bank Uganda Limited was established in 2012 to offer banking services to customers in Uganda. The audited financial statements for the year ended 31 December 2015 show that the company made a profit equivalent to Shs 35,710,000 (2014: Shs 20,698,000).

NIC Bank Limited acquired 51% of Savings & Finance Commercial Bank Limited now renamed NIC Bank Tanzania Limited with effective control being passed on 1 May 2009. The audited financial statements for the year ended 31 December 2015 show that the company made a profit equivalent to Shs 73,000,000 (2014: Shs 40,816,000).

NIC Capital Limited was established in 2005 to offer investment banking services. The audited financial statements for the year ended 31 December 2015 show that the company made a loss of Shs 489,000 (2014: Shs 8,865,000).

NIC Capital Limited (NICCL) acquired NIC Securities Ltd (NICSL) with effective control being passed on 1 January 2008. Subsequently, substantially through rights issues, the shareholding of NICCL in NICSL has increased to 100%. NICSL offers brokerage services and is a registered broker with the Nairobi Securities Exchange. The audited financial statements for the year ended 31 December 2015 show that the company made a profit of Shs 20,371,000 (2014: Shs 55,485,000). The results of NIC Securities Limited are consolidated in these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

25) Investments (Continued)

NIC Insurance Agents Limited was a 68% subsidiary of Mercantile Finance Company Limited (MFC). In 2010, NIC Bank Limited acquired the non-controlling interest and now directly owns 100% of the company. The company offers Bancassurance services. The audited financial statements for the year ended 31 December 2015 show that the company made a profit of Shs 21,176,000 (2014: Shs 26,326,000).

National Industrial Credit Trustees Limited functions in a trustee capacity. The audited financial statements show that the company made no profit or loss for the year (2014: Shs nil).

Mercantile Finance Company Limited did not trade during the year ended 31 December 2015. Its activities are limited to the recovery of its non performing debts. The audited financial statements show that the company made no profit or loss for the year (2014: Shs nil).

The African Mercantile Banking Company Limited did not trade during the year ended 31 December 2015. The audited financial statements show that the company made no profit or loss for the year (2014: Shs nil).

In April 2014, the Bank acquired a 100% shareholding in Codicote Limited for a consideration of Shs 550 million. The sole asset of Codicote Limited is Land LR NO. 209/13628 adjacent to the headquarters of the Bank in Upperhill, Nairobi. The company name was subsequently changed to NIC Properties Limited whose sole activity is the ownership of the land. The audited financial statements for the year ended 31 December 2015 show that the company made no profit (2014: Shs nil).

NIC Leasing Limited Liability Partnership was formed during the year ended 31 December 2015 for leasing of motor vehicle and equipment. The audited financial statements show that the company made a loss for the period of Shs 8,730,000.

26) Deferred income tax

The net deferred income tax asset computed at the enacted rate of 30%, is attributable to the following items:

Group				
Year ended 31 December 2015	At start of year	Charge/(credit) to profit or loss	Credit to OCI	At end of year
	Shs'000	Shs'000	Shs'000	Shs'000
Assets				
Leave pay accrual	(10,990)	1,005	-	(9,985)
Gratuity provision	(2,034)	751	-	(1,283)
Deferred bonus	-	(51,390)	-	(51,390)
Provision for excise duty	-	4,417	-	4,417
Excess depreciation over capital allowances	(306,681)	(76,042)		(382,743)
Available-for-sale financial assets	216,789	-	(557,721)	(340,932)
Collective allowance for impairment	(253,698)	(355,451)	-	(609,149)
Tax losses in NC Bank Uganda	(38,469)	-	-	(38,469)
	<u>(395,083)</u>	<u>(476,710)</u>	<u>(557,721)</u>	<u>(1,429,514)</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

26) Deferred income tax (Continued)

Group (Continued)

Year ended 31 December 2015	At start of year Shs'000	Charge/(credit) to profit or loss Shs'000	Credit to OCI Shs'000	At end of year Shs'000
Liabilities:				
Revaluation surplus	76,237	-	-	76,237
Exchange differences on translation	5,144	-	(4,417)	727
Net deferred income tax asset	(313,702)	(476,710)	(562,138)	(1,352,550)
Year ended 31 December 2014				
Assets				
Leave pay accrual	(10,153)	(837)	-	(10,990)
Gratuity provision	-	(2,034)	-	(2,034)
Excess depreciation over capital allowances:				
Current year	(223,432)	(83,249)	-	(306,681)
Prior year	62,851	(62,851)	-	-
Collective allowance for impairment	(313,149)	59,451	-	(253,698)
Tax losses in NC Bank Uganda	(38,469)	-	-	(38,469)
	(522,352)	(89,520)	-	(611,872)
Liabilities				
Available for sale financial assets:				
Current year	(75,174)	-	291,963	216,789
Prior year	187,357	-	(187,357)	-
Revaluation surplus	76,237	-	-	76,237
Exchange differences on translation	5,144	-	-	5,144
Net deferred income tax asset	(328,788)	(89,520)	104,606	(313,702)

At 31 December 2015, the Group had accumulated tax losses available for future relief relating to NC Bank Uganda Limited. In Uganda, tax losses can be carried forward for an indefinite period.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

26) Deferred income tax (Continued)

Bank

Year ended 31 December 2015	At start of year Shs'000	Charge/(credit) to profit or loss Shs'000	Credit to OCI Shs'000	At end of year Shs'000
Assets				
Leave pay accrual	(9,938)	1,172	-	(8,766)
Gratuity provision	(1,509)	751	-	(758)
Deferred bonus	-	(51,390)	-	(51,390)
Excess depreciation over capital allowances	(225,480)	(76,007)	-	(301,487)
Available-for-sale financial assets	220,887	-	(595,537)	(374,650)
Collective allowance for impairment	(169,311)	(337,462)	-	(506,773)
	<u>(185,351)</u>	<u>(462,936)</u>	<u>(595,537)</u>	<u>(1,243,824)</u>
Liabilities				
Revaluation surplus	76,238	-	-	76,238
Net deferred income tax asset	<u>(109,113)</u>	<u>(462,936)</u>	<u>(595,537)</u>	<u>(1,167,586)</u>
Year ended 31 December 2014				
Assets				
Leave pay accrual	(9,435)	(503)	-	(9,938)
Gratuity provision	-	(1,509)	-	(1,509)
Excess depreciation over capital allowances:				
Current year	(273,522)	48,042	-	(225,480)
Prior year	62,851	(62,851)	-	-
Collective allowance for impairment	(274,684)	105,373	-	(169,311)
	<u>(494,790)</u>	<u>88,552</u>	<u>-</u>	<u>(406,238)</u>
Liabilities				
Available-for-sale financial assets:				
Current year	(71,074)	-	104,604	33,530
Prior year	187,357	-	-	187,357
Revaluation surplus	76,238	-	-	76,238
Net deferred income tax asset	<u>(302,269)</u>	<u>88,552</u>	<u>104,604</u>	<u>(109,113)</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27) Property and equipment

Group

	Buildings	Furniture, fittings & equipment	Motor vehicles	Work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
COST OR VALUATION					
At 1 January 2014	370,000	1,822,668	59,087	63,795	2,315,550
Additions	-	211,206	26,299	55,896	293,401
Transfers - WIP	-	53,472	-	(53,472)	-
Disposals	-	(73,722)	(3,452)	-	(77,174)
Translation adjustments	-	(7,136)	849	371	(5,916)
At 31 December 2014	370,000	2,006,488	82,783	66,590	2,525,861
At 1 January 2015	370,000	2,006,488	82,783	66,590	2,525,861
Additions	-	172,431	601	75,402	248,434
Transfers - WIP	-	69,733	-	(74,746)	(5,013)
Disposals	-	(36,166)	(12,151)	-	(48,317)
Prior year adjustment	-	35,069	-	35,559	70,628
Translation adjustments	-	(736)	(1,589)	(1,786)	(4,111)
At 31 December 2015	370,000	2,246,819	69,644	101,019	2,787,482
Comprising:					
Cost	144,617	2,246,819	69,644	101,019	2,562,099
Valuation - 2013	225,383	-	-	-	225,383
	370,000	2,246,819	69,644	101,019	2,787,482
DEPRECIATION					
At 1 January 2014	-	1,163,879	32,407	-	1,196,286
Charge for the year	13,214	271,247	12,692	-	297,153
Eliminated on disposals	-	(51,724)	(3,452)	-	(55,176)
Translation adjustments	-	6,051	2,437	-	8,488
At 31 December 2014	13,214	1,389,453	44,084	-	1,446,751
At 1 January 2015	13,214	1,389,453	44,084	-	1,446,751
Charge for the year	13,215	251,134	12,504	-	276,853
Eliminated on disposals	-	(20,885)	(3,645)	-	(24,530)
Prior year adjustment	-	8,558	-	-	8,558
Translation adjustments	-	12,764	3,326	-	16,090
At 31 December 2015	26,429	1,641,023	56,269	-	1,723,722
NET BOOK VALUE					
At 31 December 2015	343,571	605,795	13,375	101,019	1,063,760
At 31 December 2014	356,786	617,035	38,699	66,590	1,079,110

Buildings were revalued at Shs 370 million as at 31 December 2013 by registered professional valuers, Knight Frank Valuers Limited, on an open market value basis by reference to market evidence of recent transactions for similar properties. Buildings are revalued every 3-5 years. At 31 December 2015, the net book value of buildings based on original cost was Shs 113,940,000 (2014: Shs 118,323,000). There were no capitalised borrowing costs related to the acquisition of property and equipment during the year (2014: Shs nil).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 1,348,520,756 (2014: Shs 681,333,000) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 269,704,151 (2014: Shs 148,275,000). Computer equipment is included under furniture, fittings and equipment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

27) Property and equipment (Continued)

Bank

	Buildings	Furniture, fittings & equipment	Motor vehicles	Work in progress	Total
	Shs'000	Shs'000	Shs'000	Shs'000	Shs'000
Bank					
COST OR VALUATION					
At 1 January 2014	370,000	1,506,386	28,458	3,276	1,908,120
Additions	-	158,919	23,540	50,795	233,254
Transfers - WIP	-	43,128	-	(43,128)	-
Disposals	-	(27,700)	(3,452)	-	(31,152)
At 31 December 2014	<u>370,000</u>	<u>1,680,733</u>	<u>48,546</u>	<u>10,943</u>	<u>2,110,222</u>
At 1 January 2015	370,000	1,680,733	48,546	10,943	2,110,222
Additions	-	105,051	-	68,612	173,663
Transfers	-	69,733	-	(69,733)	-
Disposals	-	-	(12,151)	-	(12,151)
At 31 December 2015	<u>370,000</u>	<u>1,855,517</u>	<u>36,395</u>	<u>9,822</u>	<u>2,271,734</u>
Comprising:					
Cost	144,617	1,855,517	36,395	9,822	2,046,351
Valuation - 2013	225,383	-	-	-	225,383
	<u>370,000</u>	<u>1,855,517</u>	<u>36,395</u>	<u>9,822</u>	<u>2,271,734</u>
DEPRICIATION					
At 1 January 2014	-	1,064,497	17,713	-	1,082,210
Charge for the year	13,214	195,153	6,920	-	215,287
Eliminated on disposals	-	(27,598)	(3,452)	-	(31,050)
At 31 December 2014	<u>13,214</u>	<u>1,232,052</u>	<u>21,181</u>	<u>-</u>	<u>1,266,447</u>
At 1 January 2015	13,214	1,232,052	21,181	-	1,266,447
Charge for the year	13,215	179,240	6,877	-	199,332
Eliminated on disposals	-	-	(3,645)	-	(3,645)
At 31 December 2015	<u>26,429</u>	<u>1,411,292</u>	<u>24,413</u>	<u>-</u>	<u>1,462,134</u>
NET BOOK VALUE					
At 31 December 2015	<u>343,571</u>	<u>444,225</u>	<u>11,982</u>	<u>9,822</u>	<u>809,600</u>
At 31 December 2014	<u>356,786</u>	<u>448,681</u>	<u>27,365</u>	<u>10,943</u>	<u>843,775</u>

Buildings were revalued at Shs 370 million as at 31 December 2013 by registered, professional valuers, Knight Frank Valuers Limited, on an open market value basis by reference to market evidence of recent transactions for similar properties. At 31 December 2015, the net book value of buildings based on original cost was Shs 113,940,000 (2014: Shs 118,323,000).

Included in motor vehicles and furniture, fittings and equipment are assets with a cost of Shs 1,056,421,756 (2014: Shs 676,472,000) which were fully depreciated. The notional depreciation charge on these assets would have been Shs 241,613,780 (2014: Shs 139,857,000). Computers are included under furniture, fittings and equipment.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28) Intangible assets

Bank				Group	
2015	2014			2015	2014
Shs'000	Shs'000		Note	Shs'000	Shs'000
511,896	548,776	Computer software	28(a)	582,087	636,133
-	-	Goodwill	28(b)	409,426	409,426
<u>511,896</u>	<u>548,776</u>			<u>991,513</u>	<u>1,045,559</u>

Details of the intangible assets are as follows:

a) Computer software

Bank				Group		
Capitalised	Work in	Total		Capitalised	Work in	Total
Shs'000	progress	Shs'000		Shs'000	progress	Shs'000
Shs'000	Shs'000	Shs'000		Shs'000	Shs'000	Shs'000
			COST			
			At 1 January			
1,094,661	12,097	1,106,758	2014	1,242,674	12,097	1,254,771
-	-	-	Translation			
			adjustment	20,372	-	20,372
31,793	63,865	95,658	Additions	41,464	63,865	105,329
6,117	(6,117)	-	Transfers	6,117	(6,117)	-
<u>1,132,571</u>	<u>69,845</u>	<u>1,202,416</u>	At 31 December	<u>1,310,627</u>	<u>69,845</u>	<u>1,380,472</u>
			2014			
1,132,571	69,845	1,202,416	At 1 January	1,310,627	69,845	1,380,472
-	-	-	2015			
			Translation	(9,878)	-	(9,878)
			adjustment			
19,456	126,731	146,187	Addition	32,855	127,757	160,612
47,192	(47,192)	-	Transfers	52,205	(47,192)	5,013
<u>1,199,219</u>	<u>149,384</u>	<u>1,348,603</u>	At 31 December	<u>1,385,809</u>	<u>150,410</u>	<u>1,536,219</u>
			2015			
			AMORTISATION			
			At 1 January			
477,198	-	477,198	2014	535,042	-	535,042
-	-	-	Translation			
			adjustments	1,940	-	1,940
176,442	-	176,442	Charge for the	207,357	-	207,357
			year			
<u>653,640</u>	<u>-</u>	<u>653,640</u>	At 31 December	<u>744,339</u>	<u>-</u>	<u>744,339</u>
			2014			
653,640	-	653,640	At 1 January	744,339	-	744,339
-	-	-	2015			
			Translation	(5,684)	-	(5,684)
			adjustments			
183,067	-	183,067	Charge for the	215,477	-	215,477
			year			
<u>836,707</u>	<u>-</u>	<u>836,707</u>	At 31 December	<u>954,132</u>	<u>-</u>	<u>954,132</u>
			2015			
<u>362,511</u>	<u>149,384</u>	<u>511,896</u>	Net Book Value	<u>431,677</u>	<u>150,410</u>	<u>582,087</u>
			At 31 December			
<u>478,931</u>	<u>69,845</u>	<u>548,776</u>	2015	<u>566,288</u>	<u>69,845</u>	<u>636,133</u>
			At 31 December			
			2014			

NOTES TO THE FINANCIAL STATEMENTS (Continued)

28) Intangible assets (Continued)

a) Computer software (Continued)

Assets of the Group with a gross value of Shs 285,293,859 (2014: Shs 236,419,000) are fully amortised but still in use. The notional amortisation charge on the assets would have been Shs 57,058,772 (2014: Shs 47,299,000). The weighted average remaining useful life of intangible assets 2.3 years (2014: 2.9 years).

b) Goodwill

The goodwill consists of equity interest held by the Group in:

	2015	Amount	2014	Amount
	Ownership	Shs'000	Ownership	Shs'000
	%		%	
NIC Bank Tanzania	69.84	251,996	69.84	251,996
NIC Securities	100	123,430	100	123,430
NIC Properties	100	34,000	100	34,000
		<u>409,426</u>		<u>409,426</u>

Goodwill arising on consolidation represents the growth potential of NIC Bank Tanzania, NIC Securities and NIC Properties.

Impairment tests for goodwill

Management reviews the business performance of the above subsidiaries. The subsidiaries are deemed Cash Generating Units (CGU) by the Group. The recoverable amount of all CGUs has been determined based on value-in-use calculations which are based on key assumptions about budgeted performance. The budget assumptions reflect current trends, anticipated growth driven by the Group's strategy and management experience.

Based on the results of the impairment tests performed, management believes that there is no impairment of the carrying value of the goodwill in any CGU. In addition, no impairment of the Bank's investments in subsidiary undertakings as referred to in note 25 was considered necessary.

29) Operating lease prepayments – Leasehold land

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
10,000	10,000	Cost	526,000	10,000
-	-	At start of year	-	516,000
<u>10,000</u>	<u>10,000</u>	Additions	<u>526,000</u>	<u>526,000</u>
		At end of year		
2,875	2,750	Amortization	2,875	2,750
125	125	At start of year	125	125
<u>3,000</u>	<u>2,875</u>	Charge for the year	<u>3,000</u>	<u>2,875</u>
<u>7,000</u>	<u>7,125</u>	At end of year	<u>523,000</u>	<u>523,125</u>
		Net book value		

NOTES TO THE FINANCIAL STATEMENTS (Continued)

30) Customer deposits

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
38,905,864	37,028,373	Current	41,278,018	39,578,288
1,776,475	1,351,419	Savings	2,472,997	2,113,683
64,292,907	53,606,130	Term	68,375,136	57,869,924
218,754	805,156	Other	238,486	873,059
<u>105,194,000</u>	<u>92,791,078</u>		<u>112,364,637</u>	<u>100,434,954</u>
5.60%	5.16%	Weighted average effective interest	5.19%	5.04%

Customer deposits are financial instruments classified as liabilities at amortised cost. Included in term deposits are deposits which are at fixed interest rates whereas all other deposits are at variable rates.

Other deposits are those held as collateral for irrevocable commitments mainly under import letters of credit and performance bonds. Their fair value approximates the carrying amount.

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
105,194,000	92,791,078	Current	112,364,637	100,276,320
-	-	Non-current	-	158,634
<u>105,194,000</u>	<u>92,791,078</u>		<u>112,364,637</u>	<u>100,434,954</u>

31) Due to banking institutions

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>7,734,613</u>	<u>4,625,406</u>	Maturing within 90 days:	<u>9,064,552</u>	<u>5,411,664</u>
3.20%	2.97%	Due to banking institutions		
		Weighted average effective interest rate	2.63%	2.87%

Deposits due to banking institutions are financial instruments classified as liabilities at amortised cost. They are current.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

32) Borrowings

The Bank has an unsecured revolving medium term lines of credit for onward lending with:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
1,388,789	1,595,883	Agence Francaise De Development (PROPARCO)	2,613,972	2,110,154
5,630,659	4,991,461	The International Finance Corporation (IFC)	5,630,659	4,991,461
1,372,106	1,521,373	The Dutch Development Finance Institution, FMO	1,372,106	1,521,373
5,739,453	5,735,492	Medium term note	5,739,453	5,735,492
<u>14,131,007</u>	<u>13,844,209</u>		<u>15,356,190</u>	<u>14,358,480</u>

Maturity Profile:

962,497	794,397	Payable within one year	1,181,709	843,429
959,908	1,661,953	Payable after one year and within three years	1,680,220	2,127,192
12,208,602	11,387,859	Payable after three years	12,494,261	11,387,859
<u>14,131,007</u>	<u>13,844,209</u>		<u>15,356,190</u>	<u>14,358,480</u>
7.74%	4.71%	Weighted average effective interest	7.42%	3.34%

Borrowings are financial instruments classified as a liability at amortised cost.

33) Due to group companies

Bank

		2015	2014
		Shs'000	Shs'000
Deposits held	- NIC Capital	220,587	178,038
	- Mercantile Finance Company	28,641	5,210
	- NIC Securities	336,191	381,109
	- NIC Insurance Agents	136,167	34,982
Other payables	- Mercantile Finance Company	-	42,020
	- NIC Bank Tanzania	874	681
	- NC Bank Uganda	336,557	167,412
		<u>1,059,017</u>	<u>809,452</u>

Balances due to group companies are current.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

34) Other liabilities

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
236,707	413,915	Bills payable	238,174	415,942
1,654,848	1,229,374	Other payables and accruals	1,916,218	1,506,348
-	-	Preference shares	30,745	32,994
-	-	Legal and other claims	4,200	11,695
-	-	Trade payables	155,787	125,586
-	-	Leave pay provision	33,283	36,633
<u>29,220</u>	<u>33,130</u>		<u>33,283</u>	<u>36,633</u>
<u>1,920,775</u>	<u>1,676,419</u>		<u>2,378,407</u>	<u>2,129,198</u>

Other liabilities are current. Other liabilities, excluding non-financial assets, are classified as liabilities at amortised cost.

Legal and other claims relate substantially to a provision for charges brought against the Group by customers of the stock brokerage subsidiary, NIC Securities Limited. In the directors' opinion, after taking appropriate legal advice, the outcome of these legal claims will not give rise to any significant loss beyond the amounts provided for at 31 December 2015.

The preference shares relate to East African Development Bank (EADB) which invested TShs 650 million in 8% non-redeemable and non-cumulative preference shares issued by NIC Bank Tanzania Limited in November 2004. The preference shareholders have the discretion to transfer to the existing shareholders or may convert their shares into ordinary shares upon attainment of certain covenants. Dividends on the preference shares are payable when there are sufficient cash resources at the date of declaration, subject to the business and industry requirements of the company, making of prudent reserves and provisions in general and complying with all applicable legislation.

35) Dividends

At the Annual General Meeting scheduled for 17th May 2016, a final dividend in respect of 2015 of Shs 1.00 per share (2014: first and final dividend of Shs 1.00 per share) amounting to a total of Shs 698,946,000 (2014: Shs 639,946,000) is to be proposed by the directors.

During the year, an interim dividend in respect of 2015 of Shs 0.25 per share (2014: Nil), amounting to a total of Shs 159,984,000 (2014: Nil)

The total estimated dividend for the year to be paid is therefore Shs 1.25 per share (2014: Shs 1 per share) amounting to a total of Shs 799,930,000 (2014: Shs 639,946,000). The final proposed dividend for the year is subject to approval by shareholders at the Annual General Meeting and has not been included as a liability in these financial statements.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

35) Dividends (Continued)

Group and Bank

The movement in unclaimed dividends is as follows:

	2015	2014
	Shs'000	Shs'000
At start of year	82,883	72,233
Final dividend declared	639,946	407,238
Interim dividend declared	159,984	-
Dividends paid	(830,342)	(396,588)
At end of year	52,471	82,883

Payment of dividends to members with shareholding of up to 12.5% is subject to withholding tax at the rate of 5.0% for residents and 10.0% for non-residents.

36) Share capital and reserves

(a) Share capital and share premium

Group and Bank	Number of shares	Share Capital Shs'000	Share premium Shs'000
Year ended 31 December 2014			
At start of year	542,984,148	2,714,921	1,208,068
Bonus issue	54,298,415	271,492	(271,492)
Rights issue	42,663,040	213,315	1,887,839
Bonus and Rights issue expenses	-	-	(93,160)
At end of year	639,945,603	3,199,728	2,731,255
Year ended 31 December 2015			
At start of year	639,945,603	3,199,728	2,731,255
Bonus and Rights issue expenses	-	-	(31,238)
At end of year	639,945,603	3,199,728	2,700,017

As at 31 December 2015, the authorised share capital of the Bank comprised of 800,000,000 (2014: 800,000,000) ordinary shares with a par value of Shs 5. The issued shares as at 31 December 2015 are 639,945,603 (2014: 639,945,603) and are fully paid. Issued and fully paid ordinary shares, which have a par value of Shs 5, carry one vote per share and carry a right to dividend.

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at General Meetings of the Bank.

Premiums from the issue of shares are reported as share premiums. During the year, a portion of this was utilised to cater for related Rights Issue expenses.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

36) Share capital and reserves (Continued)

(b) Revaluation surplus on property

Revaluation reserve is made up of the periodic adjustment arising from the valuation of buildings, net of the related deferred taxation. The reserve is not available for distribution to the shareholders.

Group and Bank

The movement in revaluation surplus on property is as follows:

	2015	2014
	Shs`000	Shs`000
At start of year	184,764	189,545
Revaluation surplus on building net of deferred tax:		
Transfer of excess depreciation	(6,830)	(6,830)
Deferred tax on excess depreciation	2,049	2,049
At end of year	<u>179,983</u>	<u>184,764</u>

(c) Investments revaluation reserve

This represents the unrealized increase or decrease in the fair value of available-for-sale investments after deduction of deferred income tax, excluding impairment losses. The reserve is not available for distribution to the shareholders.

(d) Foreign currency translation reserve

The reserve represents exchange differences arising from translation of the net assets of the Group's foreign operations which are NIC Bank Tanzania Limited and NC Bank Uganda Limited from their functional currency (Tanzania Shillings and Uganda Shillings respectively), to the Group's presentation currency (Kenya Shillings). These differences are recognised directly through other comprehensive income and accumulated in the foreign currency translation reserve in equity. The reserve is not available for distribution to the shareholders.

(e) Regulatory reserve(s)

Where impairment losses required by prudential guidelines issued by the banking regulators exceed those computed under the International Financial Reporting Standards (IFRS), the excess is recognised as a regulatory reserve and accounted for as an appropriation from retained earnings. The reserve is not available for distribution to the shareholders.

(f) Other reserve

The reserve relates to transactions with non-controlling interests that do not result in loss of control. It is the difference between fair value of any consideration paid and the relevant share acquired of the carrying value of net assets of the subsidiary. See the respective disclosures under notes 37 (a) and (b).

(g) Retained earnings

This represents undistributed profits from current and previous years.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

37) Non-controlling interests

The total non-controlling interest consists of equity interest in subsidiaries:

	2015		2014	
	Ownership %	Amount Shs'000	Ownership %	Amount Shs'000
NIC Bank Tanzania	30.16	485,344	30.16	477,574

a) NIC Bank Tanzania

On 1 May 2009, the Group acquired a 51% stake in one of Tanzania's mid-sized commercial bank, Savings & Finance Commercial Bank Ltd, later renamed NIC Bank Tanzania Limited. NIC Bank Tanzania Limited was founded as a non-bank financial institution in 1994, converted to a fully-fledged commercial bank in 2005 and has branches in Dar es Salaam (2), Mwanza (1), Arusha (1) and Kahama (1). Through direct buy-outs and additional rights issues, NIC Bank Limited increased its shareholding from 51% to 68.97% in 2013. This was further increased in 2014 to 69.84% through the taking up of rights not exercised by minority shareholders.

	2015 Shs'000	2014 Shs'000
Carrying amount of non-controlling interest acquired	-	13,339
Consideration paid for the interests	-	(16,008)
Excess of consideration paid recognised in parent's equity	-	(2,669)

Movement in non-controlling interests

At start of year	477,574	377,206
Carrying amount of non-controlling interest acquired by the Group	-	(13,339)
Additional shares acquired through rights issue	-	117,889
Share of profit/ (loss) for the year	7,770	(4,182)
At end of year	485,344	477,574

b) NIC Securities

On 31 December 2007, the Bank acquired 57.7% of NIC Securities Limited (formerly Solid Investment Securities Limited) through its wholly owned subsidiary NIC Capital Limited. Through combinations of direct buy-outs and additional rights issues, the Group increased its shareholding in the subsidiary to 91.34% in 2009. Through direct buy-out, the Group further increased its shareholding in the subsidiary to 100% in 2014.

	2015 Shs'000	2014 Shs'000
Carrying amount of non-controlling interest acquired	-	306
Consideration paid for the interests	-	(683)
Excess of consideration paid recognised in parent's equity	-	(377)

NOTES TO THE FINANCIAL STATEMENTS (Continued)

37) Non-controlling interests (Continued)

b) NIC Securities (Continued)

Movement in non-controlling interests

	2015	2014
	Shs'000	Shs'000
Carrying amount of non-controlling interest acquired	-	306
Consideration paid for the interests	-	(683)
Excess of consideration paid recognised in parent's equity	-	(377)

38) Off balance sheet financial instruments, contingent liabilities and commitments

a) Contingent liabilities

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
2,405,342	3,374,438	Letters of credit	2,447,972	3,490,696
11,763,879	13,633,024	Letters of guarantee & performance bonds	11,988,684	13,793,897
14,169,221	17,007,462		14,436,656	17,284,593

In the ordinary course of business, the Group conducts business involving acceptances, letters of credit, guarantees, performance bonds and indemnities. The majority of these facilities are offset by corresponding obligations of third parties. In addition, there are other off balance sheet financial instruments including forward contracts for purchase and sale of foreign currencies, the nominal amounts of which are not reflected in the statement of financial position.

Letters of credit are commitments by the Group to make payments to third parties, on production of documents, on behalf of customers and are reimbursed by customers. Letters of guarantee and performance bonds are issued by the Group, on behalf of customers, to guarantee performance by customers to third parties. The Group will only be required to meet these obligations in the event of default by the customers.

(b) Operating lease prepayments

i) The group as a lessor

At the end of the reporting period, the Group had contracted with tenants for the following future lease receivables:

Group and Bank	2015	2014
	Shs'000	Shs'000
Within one year	10,445	2,750
In the second to fifth year inclusive	52,223	10,013
	62,668	12,763

Leases are negotiated for an average term of 6 years and rentals are reviewed every two years. The leases are cancellable with a penalty when the tenants do not give three months' notice to vacate the premises.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38) Off balance sheet financial instruments, contingent liabilities and commitments (Continued)

b) Operating lease prepayments (Continued)

ii) The group as a lessee

At the end of the reporting period, the Group had non-cancellable operating leases which fall due as follows:

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
		Premises		
181,576	167,948	Within one year	257,714	244,437
436,551	425,490	2 – 5 years	1,194,107	686,365
<u>618,127</u>	<u>593,438</u>		<u>1,451,822</u>	<u>930,802</u>
		Office equipment		
3,072	2,615	Within one year	3,072	2,615
256	113	2 – 5 years	256	113
<u>3,328</u>	<u>2,728</u>		<u>3,328</u>	<u>2,728</u>

Operating lease payments represent rentals payable by the Group for its business premises and office equipment. Premises leases are negotiated for an average term of 6 years, while office equipment is for an average term of 3 years. For these contingent liabilities, no reimbursement is expected.

c) Capital commitments

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
49,000	-	Authorized and contracted for	49,000	-
764,625	680,640	Authorized but not contracted for	868,101	680,640
<u>813,625</u>	<u>680,640</u>		<u>917,101</u>	<u>680,640</u>

The capital commitments largely relate to branch expansion activities and software acquisition. The Group's management is confident that future net revenues and funding will be sufficient to cover this commitment.

d) Legal proceedings

Besides of the provision made (see note 34), various claims against the Group are considered without merit, and the Bank is defending them vigorously. It is not possible to estimate the Bank's possible loss in relation to these matters, nor the effect that they might have upon operating results in any particular financial period. No contingent liability associated with legal actions has been disclosed as professional advice indicates that it is unlikely that any significant loss will arise.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

38) Off balance sheet financial instruments, contingent liabilities and commitments (Continued)

e) Other credit commitments

Commitments to lend are agreements to lend to customers in future subject to certain conditions. Such commitments are normally made for fixed periods. The Group may withdraw from its contractual obligations to extend credit by giving reasonable notice to the customers.

39) Notes to the consolidated statement of cash flows

a) Cash used in operations

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
		Reconciliation of profit before income tax to cash used in operations		
6,259,656	6,081,281	Profit before income tax	6,397,275	6,230,650
		Adjustments for:		
199,332	215,287	Depreciation (note 27)	276,853	297,153
125	125	Amortization of operating lease prepayments	125	125
183,067	176,442	Amortization of intangible assets (note 28)	215,477	207,357
6	(1,151)	Loss/(gain) on sale of motor vehicle and equipment (note 39 (c))	(991)	23,243
<u>6,642,186</u>	<u>6,471,984</u>	Profit before working capital changes	<u>6,888,739</u>	<u>6,758,528</u>
		Increase in balances with central banks:		
(661,055)	(473,056)	– Mandatory reserve deposits	(546,826)	(535,039)
(13,558,822)	(16,961,541)	Increase in loans and advances to customers	(14,082,314)	(18,548,822)
-	-	Outflows on purchase of quoted shares - held for trading	(16,838)	-
(7,778,657)	(2,984,550)	Increase in Government securities maturing after 90 days	(7,894,764)	(4,203,136)
196,170	(77,549)	Decrease in derivatives held for risk management	196,170	(70,649)
29,965	(130,142)	Decrease/(increase) in other assets	93,705	(423,753)
(88,754)	271,472	Due (from)/ to group companies	-	-
12,402,922	8,554,889	Increase in customer deposits	11,929,683	8,869,949
244,356	(71,871)	Increase/(decrease) in other liabilities	(249,209)	786,710
286,798	10,216,040	Increase in borrowings	997,710	10,730,311
<u>(2,284,891)</u>	<u>4,815,676</u>	Cash used in operations	<u>(2,683,984)</u>	<u>3,364,099</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

39) Notes to the consolidated cash flow statement (Continued)

b) Cash and cash equivalents

Analysis of balances of cash and cash equivalents as shown in the consolidated statement of financial position and notes.

Bank				Group	
2015	2014			2015	2014
Shs'000	Shs'000		Note	Shs'000	Shs'000
1,847,653	4,323,580	Cash and balances with central banks	17	2,822,997	4,969,263
804,882	484,521	Items in course of collection	18	848,819	519,958
5,464,120	7,843,903	Due from banking institutions	19	6,675,640	8,753,909
1,942,070	202,520	Government securities	20	2,308,344	696,965
(7,734,613)	(4,625,406)	Due to banking institutions	31	(9,064,552)	(5,411,664)
<u>2,324,112</u>	<u>8,229,118</u>			<u>3,591,248</u>	<u>9,528,431</u>

c) (Loss)/gain from sale of motor vehicles and equipment

Bank				Group	
2015	2014			2015	2014
Shs'000	Shs'000		Note	Shs'000	Shs'000
8,500	1,245	Proceeds from sale of motor vehicle and equipment		24,778	(1,245)
(12,151)	(31,152)	Disposal at cost	27	(48,317)	(77,174)
3,645	31,050	Depreciation eliminated on disposal	27	24,530	55,176
<u>(6)</u>	<u>1,151</u>	(Loss)/gain on disposal of motor vehicle and equipment	11	<u>991</u>	<u>(23,243)</u>

40) Related party transactions

Parties are considered to be related if one party has the ability to control the other party or exercise significant influence over the other party in making financial or operation decisions, or one other party controls both.

There are other companies which are related to NIC Bank Limited through common shareholdings or common directorships.

In the normal course of business, a number of banking transactions are entered into with related parties i.e. staff, directors, their associates and companies associated with directors. These include loans, deposits and foreign currency transactions. Loans and advances to customers at 31 December include loans and advances to staff and to companies associated with directors. Contingent liabilities at 31 December include guarantees and letters of credit for companies associated with directors.

NOTES TO THE FINANCIAL STATEMENTS (Continued)

40) Related party transactions (continued)

a) Loans and advances to customers:

Companies associated with directors

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
1,036,964	703,950	At start of year	1,079,960	703,950
(735,837)	333,014	Net movement during the year	(748,981)	376,010
<u>301,127</u>	<u>1,036,964</u>	At end of year	<u>330,979</u>	<u>1,079,960</u>
<u>191,744</u>	<u>76,431</u>	Interest earned	<u>191,744</u>	<u>78,456</u>
		Guarantees and letters of credit to companies associated with directors		
<u>349,327</u>	<u>627,989</u>		<u>349,327</u>	<u>627,989</u>

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

Directors

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
		Loans and advances to customers:		
68,234	4,263	At start of year	92,370	14,072
(5,323)	63,971	Net movement during the year	(19,928)	78,298
<u>62,911</u>	<u>68,234</u>	At end of year	<u>72,442</u>	<u>92,370</u>
<u>3,511</u>	<u>4,567</u>	Interest earned	<u>3,663</u>	<u>6,785</u>

These loans and advances are performing and are adequately secured.

b) Customer deposits

Companies associated with directors

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
		At start of year	4,216,109	4,957,594
4,207,322	4,864,462	Net movement during the year	1,781,491	(741,485)
1,775,482	(657,140)			
<u>5,982,804</u>	<u>4,207,322</u>	At end of year	<u>5,997,600</u>	<u>4,216,109</u>
<u>368,165</u>	<u>197,567</u>	Interest paid	<u>368,165</u>	<u>198,574</u>

NOTES TO THE FINANCIAL STATEMENTS (Continued)

40) Related party transactions (continued)

b) Customer deposits (Continued)

Companies associated with directors (Continued)

The above outstanding balances arose from the ordinary course of business and are substantially on the same terms, including interest rates and security, as for comparable transactions with third-party counterparties.

Directors and key management personnel

Bank			Group	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
5,008	116,713	At start of year	27,028	120,442
21,280	(111,705)	Net movement during the year	7,721	(93,414)
<u>26,288</u>	<u>5,008</u>	At end of year	<u>34,749</u>	<u>27,028</u>
<u>1,248</u>	<u>2,378</u>	Interest paid	<u>1,248</u>	<u>2,478</u>

Other amounts outstanding at the end of the reporting period are disclosed in notes 24 and 33.

c) Key management compensation

The remuneration of directors and other members of key management during the year was as follows:

BANK			GROUP	
2015	2014		2015	2014
Shs'000	Shs'000		Shs'000	Shs'000
<u>330,121</u>	<u>290,351</u>	Salaries and other benefits	<u>420,563</u>	<u>392,612</u>
		Directors' remuneration		
16,370	14,551	Fees for services as directors	35,008	31,562
<u>151,749</u>	<u>133,908</u>	Other emoluments (included in key management compensation above)	<u>212,034</u>	<u>188,836</u>
<u>168,119</u>	<u>148,459</u>		<u>247,042</u>	<u>220,398</u>

In line with policy, the above compensation is a consolidated salary package encompassing all employment benefits.

41) Assets pledged as security

As at 31 December 2015, there were no assets pledged by the Group to secure liabilities and there were no secured Group liabilities (2014: nil).

42) Fiduciary activities

The Group holds asset security documents on behalf of customers with a value of Shs 66,889,877,000 (2014: Shs 60,254,564,000). These securities are held by the custody services department and comprise deposits with financial institutions, government securities and quoted and unquoted securities, among others.